*State of the Economy**

With geopolitical tensions re-escalating in West Asia, the global economy is again confronted with rising energy prices, and increased volatility across various segments of the financial markets. Notwithstanding the ongoing global turbulence, the Indian economy recorded robust growth of 7.8 per cent in Q1:2026-27. The economy also demonstrated resilience through August as evident from high frequency indicators. Supported by strong export growth, the merchandise trade deficit narrowed. Headline inflation inched up to 4.8 per cent in August, driven by the food and beverages group along with a pickup in fuel and core components. System liquidity surplus surged following FCNR(B) deposit flows. A moderate current account deficit in Q1:2026-27 and strong FDI flows supported the external sector, and foreign exchange reserves reached an all time high.

Introduction

The global economy continues to be marred by geopolitical tensions, trade fragmentation, disruptions in energy supplies, and generalised cost pressures, which are weighing on the financial markets and business confidence. The re-escalation of conflict in West Asia has driven energy prices sharply higher, leading to inflationary concerns across advanced and emerging market economies. High level of sovereign debt and huge investment in AI infrastructure have led to a sharp rise in sovereign yields across markets. Elevated inflation prompted some major central banks to raise policy rates. Commodity prices rose from August to September (so far). Amidst these headwinds, global economic activity—reflected in the composite Purchasing Managers' Index (PMI)—expanded to a 27-month high in August.

Global equity markets revived in August on the back of strong corporate earnings, gains in technology stocks, and lower expectations of near-term monetary tightening. However, markets turned volatile in September driven by the US Fed rate hike, and fresh bout of geopolitical tensions which pushed oil prices higher and raised inflationary concerns.

The US Federal Reserve's policy rate hike exerted upward pressure on US Treasury yields in September so far (till 21st), despite the announcement of larger long-end buybacks intended to provide temporary relief. The US dollar index weakened in August and early September, supporting emerging market currencies. Subsequently, it strengthened, supported by safe haven demand and the US Fed's hawkish stance. Foreign portfolio inflows to emerging markets remained positive for the second consecutive month in August, amidst demand for emerging market debt despite higher long-term US Treasury yields. The ongoing conflict continued to weigh on the balance between growth and inflation, prompting some central banks to hike rates, while others held steady and remianed watchful of the incoming data.

The Indian economy posted a robust growth of 7.8 per cent during Q1:2026-27— the first quarter after the outbreak of conflict in West Asia—driven by domestic consumption and investment. Despite persistent geopolitical challenges, high-frequency indicators through August reflected strong demand conditions. While industry and services displayed resilience, the agriculture sector progressed well

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marked by *kharif* sowing nearing completion amidst a weak progress in monsoon.

Headline consumer price index (CPI) inflation increased in August 2026, driven by the food and beverages group along with a pickup in fuel and core (CPI excluding food and fuel) inflation. During April-July 2026-27, the gross fiscal deficit of both Union and State governments—as a percentage of full-year budget estimates—turned lower than those in the corresponding period of the previous year reflecting moderation in the revenue deficit.

System liquidity remained in surplus in August and surged further in the first half of September as banks tapped Reserve Bank's Foreign currency non-resident (Bank) [FCNR(B)] swap facility, before moderating later in the month on account of tax related outflows. The weighted average call rate (WACR) traded in the lower half of the liquidity adjustment facility (LAF) corridor. While the yield on 3-month Treasury Bill remained range-bound, yields on commercial papers and certificates of deposit displayed significant moderation before rebounding later in September. The G-sec yields hardened since mid-August amidst renewed global turmoil and rising US Treasury yields.

Money supply growth accelerated in August on account of rapid increase in aggregate deposits. Credit growth maintained its momentum while deposit growth picked up. Indian equity markets remained subdued in August and September as geopolitical tensions and elevated bond yields weighed on investor sentiment.

Merchandise export growth remained strong and trade deficit declined in August 2026. Services exports too maintained buoyancy. The current account deficit remained moderate in Q1:2026-27, supported by robust services exports and remittance flows. foreign direct investment (FDI) flows strengthened in July with net FDI reaching its highest monthly level in five years. Net inflows under non-resident deposits rose sharply. Various capital flow measures announced in June supported the accumulation of foreign exchange reserves, which rose to US$ 765.9 billion as on September 18, 2026. foreign portfolio investment (FPI)'s registered net outflows in September, after witnessing inflows in August, on re-escalation of the West Asia crisis and rising global bond yields.

The remainder of the article is presented in four sections. Section II covers the evolving developments in the global economy. Section III provides an assessment of domestic macroeconomic conditions. Section IV presents the financial conditions prevailing in India, while Section V offers concluding observations.

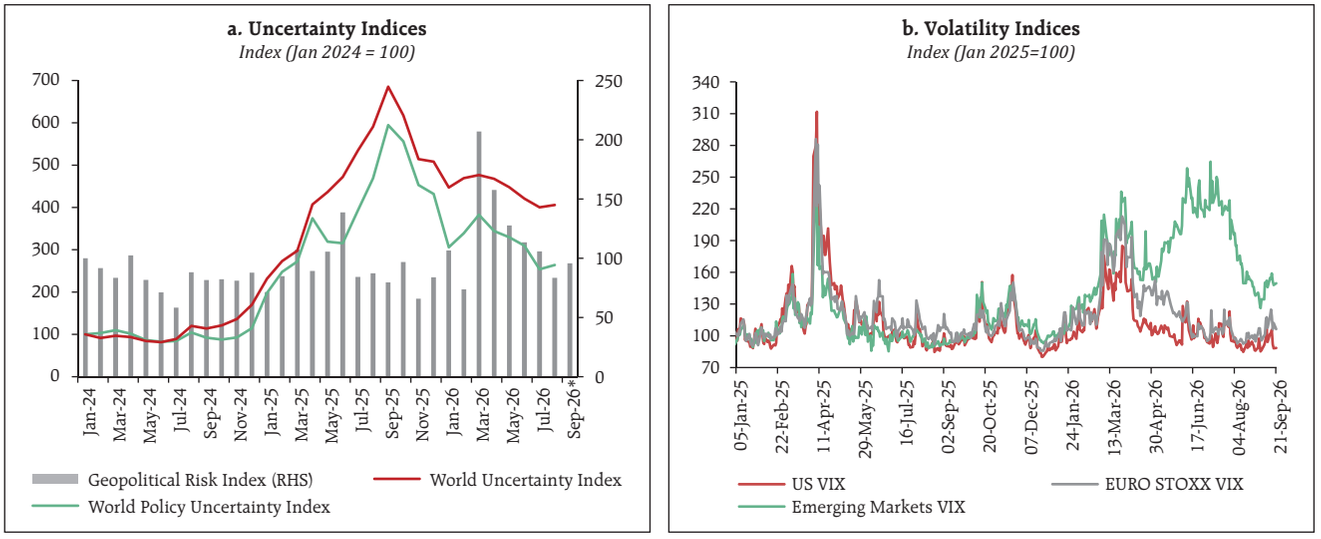
II. Global Setting

Global uncertainty increased during August and September (till 21st) amidst renewed geopolitical tensions, heightened trade policy risks, and concerns over global economic prospects (Chart II.1a). Though financial market volatility eased in August, it rose in September in emerging market economies (EMEs), reflecting fresh geopolitical tensions and rate hike by major advanced economies (AEs), including the US, while it remained broadly contained in the US and the Euro area (Chart II.1b).

With no let-up in the West Asia tensions, daily transit calls and crude volumes through the Strait of Hormuz continued to remain low and below the pre-conflict levels in September (Chart II.2).

Global economic activity, as reflected in the composite PMI, accelerated to a 27-month high in August. The services PMI expanded to a 20-month peak, higher than its manufacturing counterpart for the second consecutive month, supported by business

Chart II.1: Global Uncertainty Increased in August



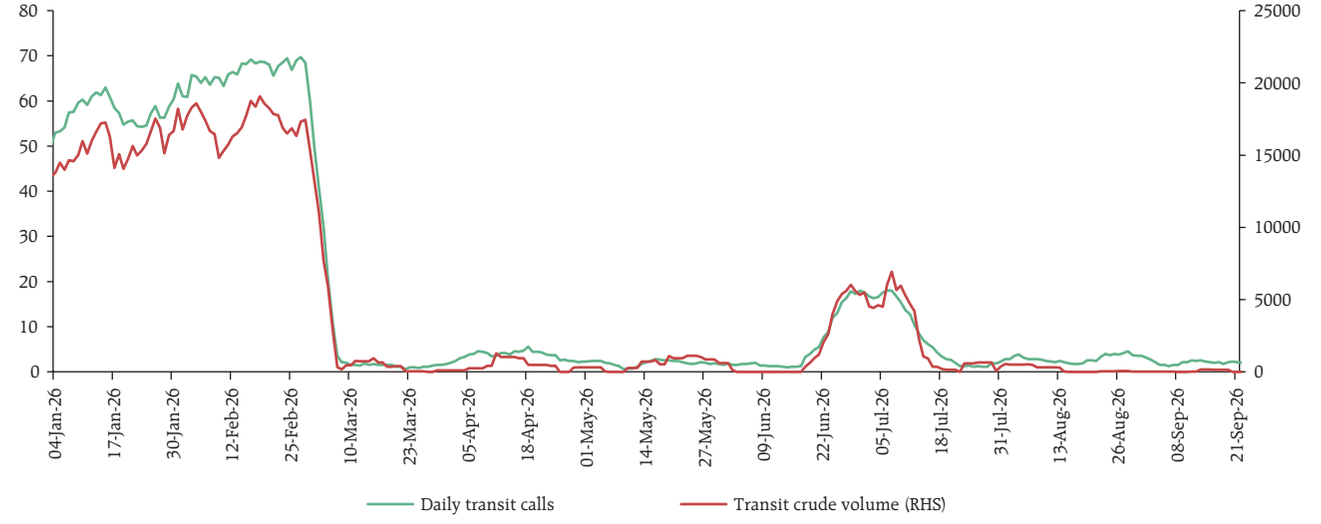
*: Data up to September 21.
Sources: Bloomberg; www.PolicyUncertainty.com; and World Uncertainty Index (WUI) database.

segments such as consumer and financial services. The index for new export orders entered the expansionary zone for the first time since February, following an improvement in both manufacturing and services sectors (Table II.1).[1]

The business activity expanded generally at a faster pace in August in AEs than in EMEs. All major AEs, including the US, the UK, the Eurozone, and Japan, recorded expansion.[2] Amongst major EMEs, India and China significantly outperformed the others,

Chart II.2: Strait of Hormuz Daily Transit Calls and Transit Crude Volume

(Vessels per day, left scale; thousand barrels per day, right scale)



Source: Bloomberg.

[1] "Global economic growth at 27-month high in August" S&P Global Market Intelligence, August 21, 2026 (Available at: https://www.pmi.spglobal.com/Public/Home/PressRelease/6f34cdcc3bf24b0f892751c08cda5dd7).

[2] "Flash PMIs signal summer growth spurt for advanced economies: assessing the growth drivers and outlook", S&P Global Market Intelligence, August 21, 2026 (Available at: https://www.spglobal.com/market-intelligence/en/news-insights/research/2026/08/flash-pmis-signal-summer-growth-spurt-for-advanced-economies-assessing-the-growth-drivers-and-outlook).

Table II.1: Global Purchasing Managers' Index

	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
PMI Composite	52.5	52.9	52.5	53	52.7	52	52.5	53.3	51.0	51.8	51.9	52	52.7	53.5
PMI Manufacturing	49.7	50.9	50.7	50.9	50.5	50.4	50.9	51.8	51.3	52.6	52.7	52.2	52.1	52.3
PMI Services	53.5	53.3	52.9	53.5	53.2	52.4	52.8	53.4	50.8	51.2	51.3	51.7	52.7	53.7
PMI Export Orders	48.5	48.9	49.7	48.5	49.9	49.3	49.7	51.2	49.6	49.6	48.9	49.2	49.5	51.1
PMI Export Orders: Manufacturing	48.2	48.7	49.5	48.3	49.9	49.1	49.9	51.4	50.0	50.2	49.6	49.4	50.0	51.4
PMI Export Orders: Services	49.4	49.3	50.2	49.4	50.2	49.6	48.9	50.5	48.3	47.6	46.6	48.3	48.1	50.3

50

<<<<<<Contraction----------Expansion>>>>>>

Notes: 1. The Purchasing Managers' Index (PMI), a diffusion index, captures the change in each variable compared to the prior month, noting whether each has risen/improved, fallen/deteriorated or remained unchanged. A PMI value >50 denote expansion; <50 denote contraction; and =50 denote 'no change'.

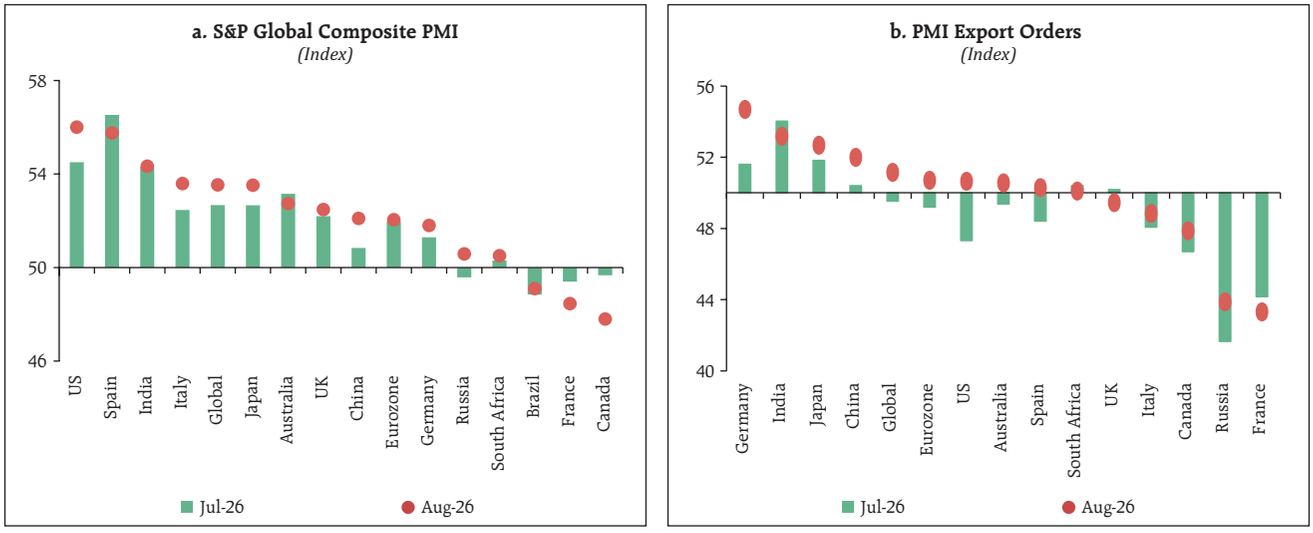
2. Heat map is applied on data from April 2023 onwards. The map is colour coded–red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Source: S&P Global.

while Brazil continued to record contraction (Chart II.3a). New export orders recovered to expansionary territory in the US and the Eurozone, while the UK registered a contraction. Among major EMEs, India and China continued to record expansion in export orders (Chart II.3b).

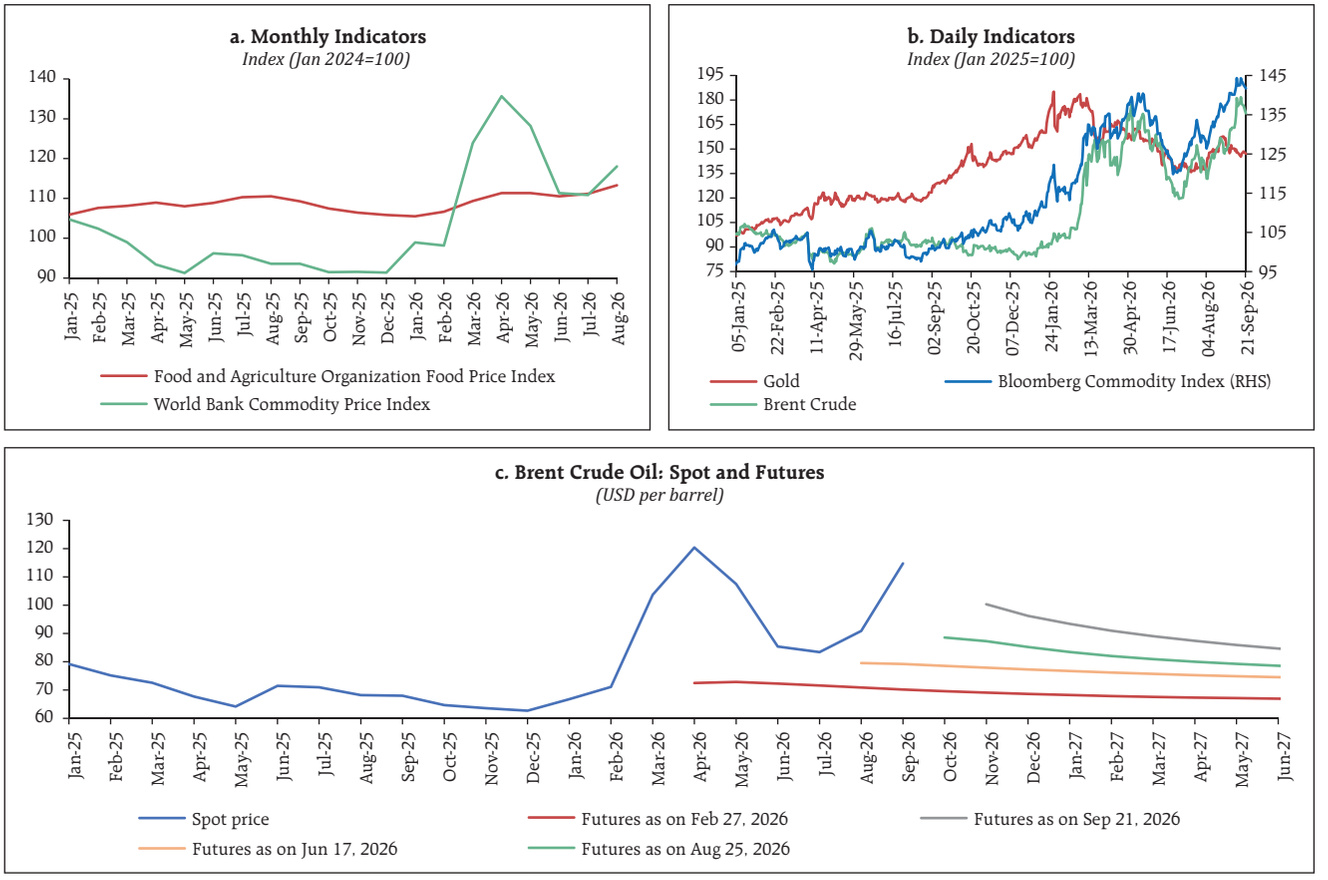
Commodity prices broadly increased in August and September (till 21st). The Food Price Index of the Food and Agriculture Organization (FAO) for August pointed to a broad-based increase in food prices. The World Bank Commodity Price Index also picked-up, driven by higher energy, agriculture, and metal prices (Chart II.4a). Brent crude oil prices, reflecting the fast-changing geopolitical developments, remained volatile - declining in late August before firming up sharply to above USD 100 per barrel in September (Chart II.4b and II.4c). After a safe haven rise in August, gold prices remained broadly range bound

Chart II.3: Purchasing Managers' Index: Comparison across Select Jurisdictions



Note: A level of 50 indicates no change in activity, while a reading above 50 signals expansion and below 50 suggests contraction.
Source: S&P Global.

Chart II.4: Global Commodity Prices Broadly Increased in August and September



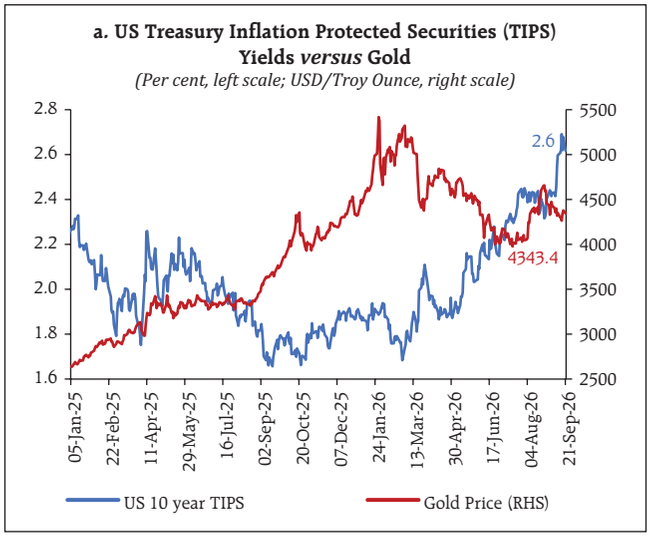
Sources: Food and Agriculture Organization; Bloomberg; and World Bank Pink Sheet.

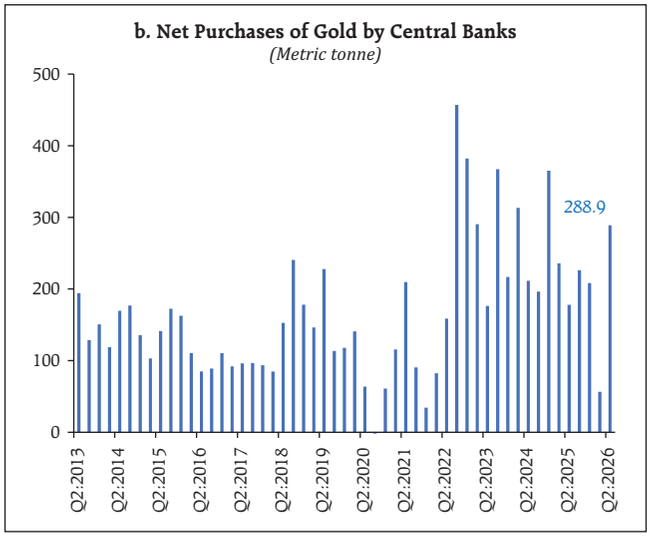
in September, as higher US Treasury yields and a stronger US dollar exerted downward pressure, while continued central bank purchases for reserve diversification provided support (Chart II.4b and II.5).

After easing in late August, aluminium prices firmed in early September over heightened supply disruption risks amidst the re-escalation of West Asia hostilities and seasonal demand. The metal price moderated later amidst expectations of improving supply from smelter restarts and ramping up of production capacity. Copper prices surged to a record high amidst concerns over declining inventories, tight supply conditions and potential US tariffs (Chart II.6a). Jet fuel and gasoline prices also increased in August as sustained damage to refining capacity in the Gulf region and a drop in jet-fuel shipments through key regional chokepoints kept the markets tight (Chart II.6b). Urea prices surged amidst tight supply, strong demand, and higher natural gas prices in Europe (Chart II.6c). LPG prices stayed elevated on supply concerns, following the renewed tensions in West Asia (Chart II.6d).

Inflation across most major AEs and EMEs remained above target in August. In the Euro area, inflation accelerated in August, driven by higher energy prices. In the UK, inflation rate rose, mainly driven by a surge in transportation costs. Inflation in the US remained unchanged, as higher gasoline prices offset easing price pressures in other components. Japan's inflation rate also remained unchanged and stayed below target (Chart II.7a). Among major

Chart II.5: Resilient Gold Prices Despite Elevated US Treasury Yields

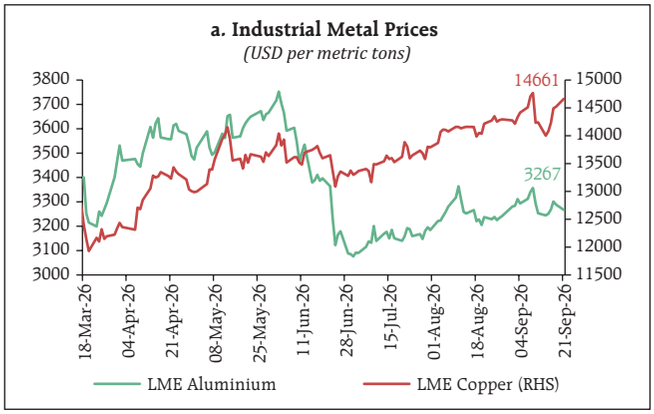


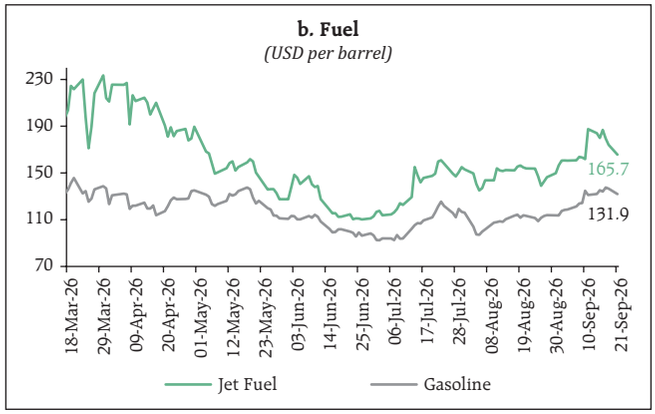


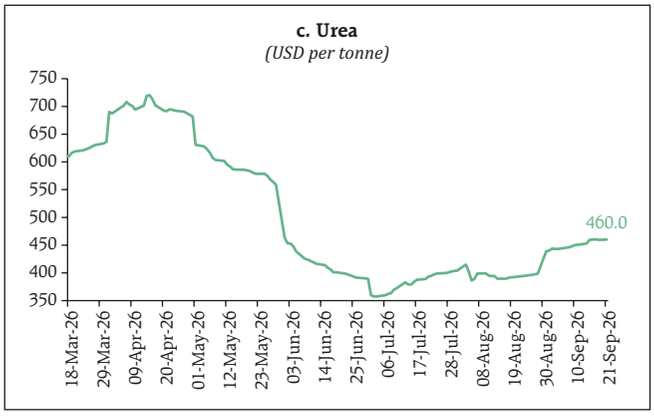
Note: In Chart b, net purchases of gold are for the quarters for the respective calendar years.
Source: Bloomberg.

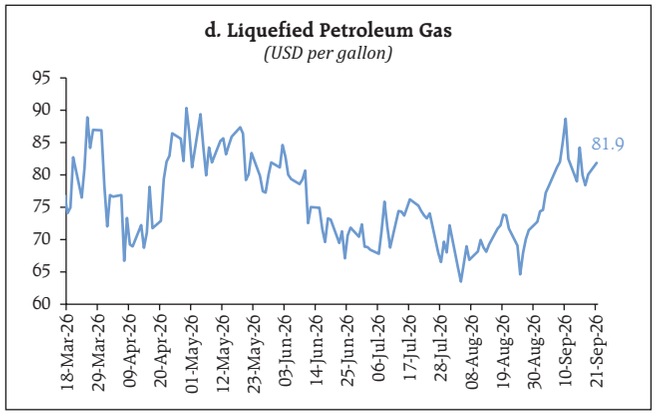
EMEs, inflation rose in Russia, reflecting broad-based price pressures across food and non-food items, and services. Inflation in China edged higher, driven by energy and seasonal increase in food prices. South

Chart II.6: Commodity Prices Stay Elevated



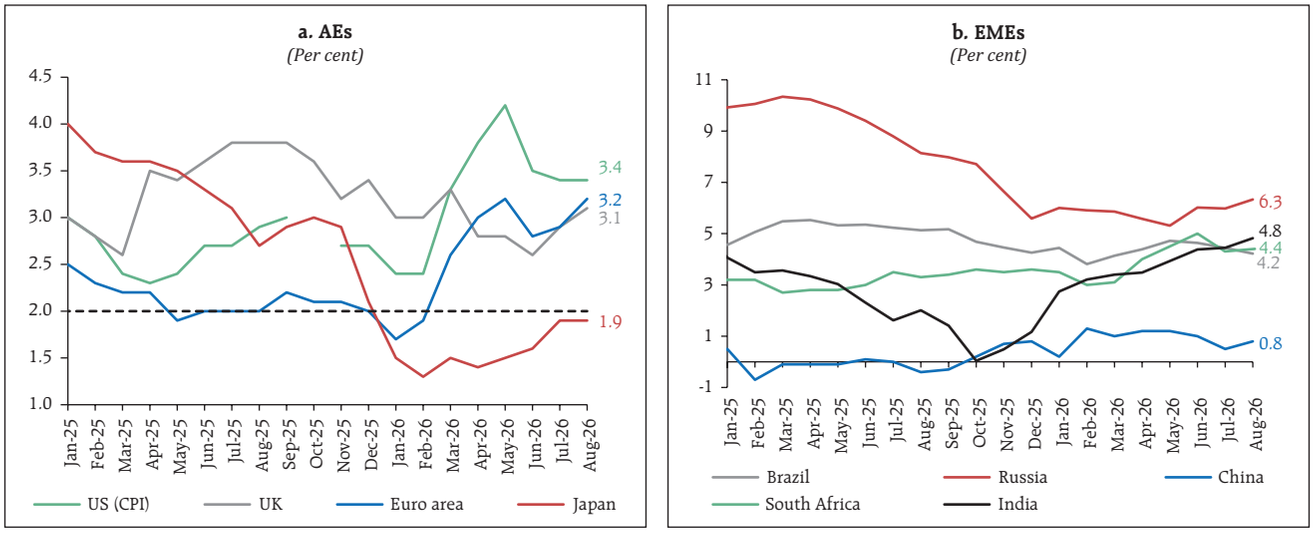






Note: The data refer to the following benchmark contracts and price indices: LME Aluminium 3-month futures; LME Copper 3-month futures; Singapore Jet Kerosene and Singapore Gasoline spot prices; Urea US Gulf futures; and Mont Belvieu Propane Fixed Price futures (LPG).
Source: Bloomberg.

Chart II.7: Headline Inflation across Major AEs and EMEs



Note: The break in the US inflation data series is due to the government shutdown during the period.
Source: Bloomberg.

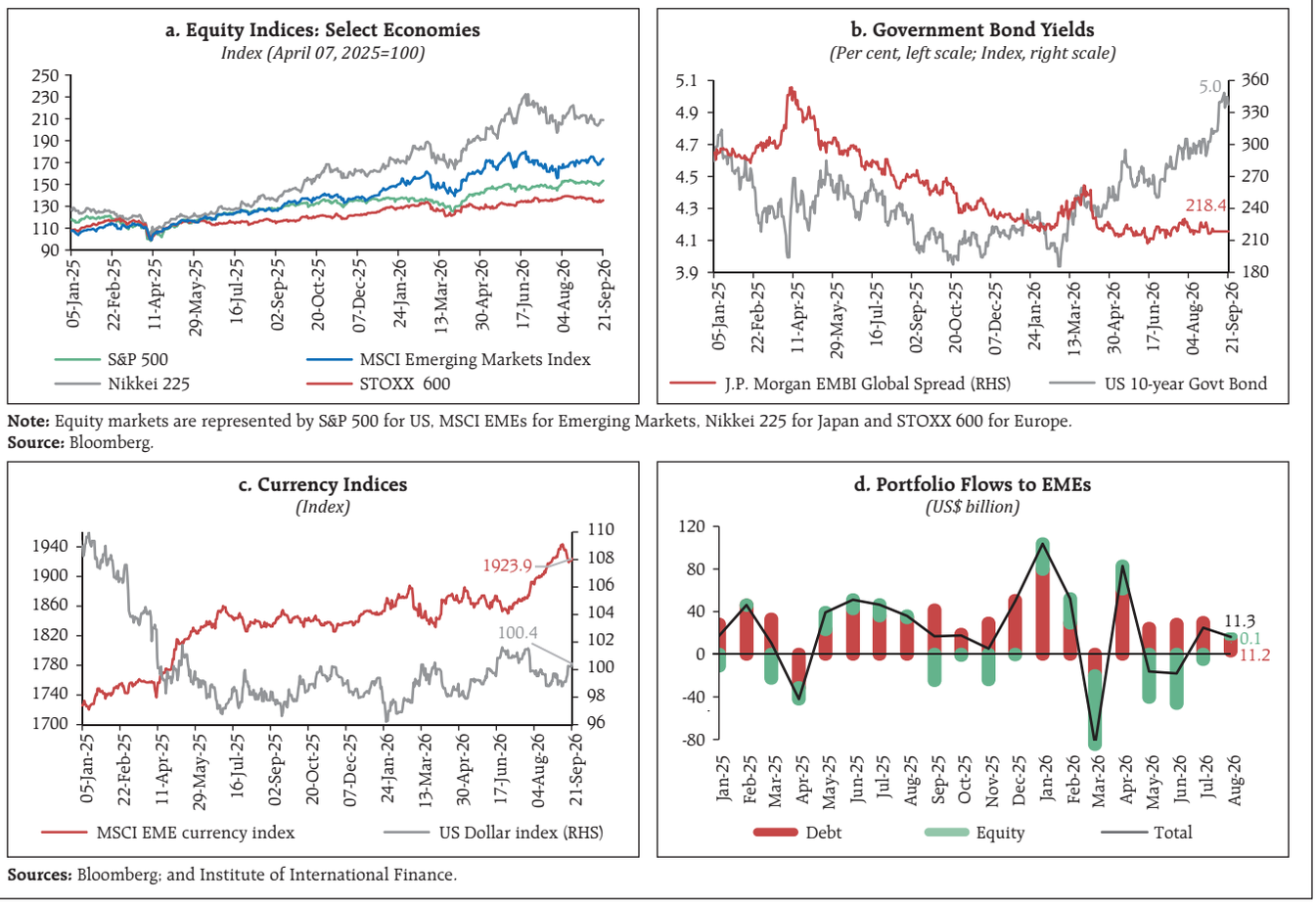
Africa's inflation rate also increased marginally, mainly driven by increase in transportation costs. In contrast, inflation in Brazil declined, primarily due to a temporary reduction in household electricity tariffs (Chart II.7b).

Global equity markets revived in August, supported by strong corporate earnings, gains in technology stocks and reduced expectations of near-term monetary tightening. Among major AEs, the US S&P 500 gained in August, backed by AI-related stocks. Euro area equities (STOXX 600) remained largely range-bound as resilient earnings and economic activity were somewhat offset by exposures to geopolitical risks, elevated energy prices and monetary policy uncertainty. In Japan, the Nikkei gained, supported by strong corporate earnings, gains in the technology and semiconductor stocks, and a weaker yen. Emerging market equities also gained, supported by Asian equities and continued technology/semiconductor related business optimism. However, markets turned volatile in September driven by the US Fed rate hike, and fresh bouts of geopolitical tensions which pushed oil prices higher and raised inflationary concerns (Chart II.8a).

US Treasury yields rose in September (till 21st), despite the announcement of larger long-end buybacks aiming to provide temporary relief, as the Fed's policy rate hike exerted upward pressure (Chart II.8b). The US dollar index weakened in August and early September, supporting emerging market currencies. Subsequently, it strengthened towards mid-September, supported by safe haven demand and the US Fed's hawkish stance (Chart II.8c). Foreign portfolio inflows to emerging markets remained positive for the second consecutive month in August, amidst continued demand for emerging market debt despite higher long-term US Treasury yields (Chart II.8d).

The renewed geopolitical tensions in West Asia continued to weigh on the growth-inflation trade-off faced by central banks across AEs and EMEs (Chart II.9). Amidst persistent inflationary risks, South Korea and the Philippines raised their benchmark interest rates in August, but Australia, Sweden, India, China, Indonesia, Mexico, and Thailand held their policy rates steady. In September (till 21st), the US, Japan and the Euro area raised their policy rates amidst

Chart II.8: Global Financial Markets



Note: Equity markets are represented by S&P 500 for US, MSCI EMEs for Emerging Markets, Nikkei 225 for Japan and STOXX 600 for Europe.
Source: Bloomberg.

Sources: Bloomberg; and Institute of International Finance.

Chart II.9 Major Central Banks' Policy Actions in August - September

Type	Countries	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26 (till 21st)
Advanced Economies	Australia														
	Canada														
	Euro area														
	Japan														
	New Zealand														
	South Korea														
	Sweden														
	Switzerland														
	United Kingdom														
	United States														
Emerging Market Economies	Brazil														
	China														
	India														
	Indonesia														
	Malaysia														
	Mexico														
	Philippines														
	Russia														
	Saudi Arabia														
	South Africa														
	Thailand														

Rate change	< -0.75	-0.75 to -0.50	-0.50 to -0.25	-0.25 to <0	0 (No change)	>0 to 0.25	0.25 to 0.50	0.50 to 0.75	> 0.75
Colour									

Note: White-coloured blocks indicate an off-policy month.
Source: Bloomberg.

rising inflationary risks. Similarly, New Zealand raised its benchmark interest rate, citing higher fuel prices, while Canada and the UK kept their rates unchanged. Amongst major EMEs, Malaysia kept its policy rate unchanged, citing a continued momentum in economic growth. Russia held its policy rate steady, pausing its monetay easing cycle, after ten consecutive rate cuts. China also kept its benchmark rate steady amidst a slower loan growth.

III. Domestic Developments

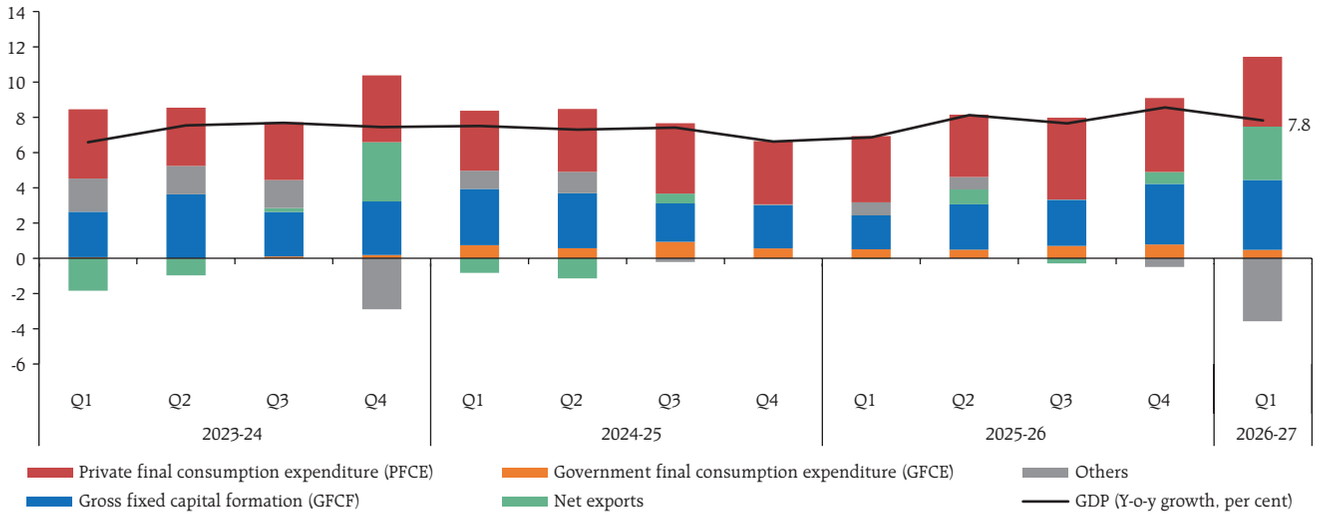
Aggregate Demand

Despite geopolitical uncertainties, Indian economy clocked a growth of 7.8 per cent in Q1:2026-27 driven by domestic consumption and investment.[3] The growth in private final consumption expenditure (PFCE) was evident from robust vehicle sales and expansion in personal loans.[4] Fixed investment registered its highest growth in the new series, as exhibited in the buoyant capital goods demand, increased Union Government capital expenditure, and sustained growth in finished steel consumption and cement output.[5] On the external front, net exports contributed positively to real GDP growth (Chart III.1 and Annex Table A1).

High-frequency indicators remained healthy in August. E-way bill generation grew sequentially. Goods and Services Tax (GST) revenue maintained double-digit growth, driven by strong import related collections, while domestic collections also remained robust.[6] Growth in petrol consumption picked up compared to the previous year supported by increased road travel amidst below normal rainfall in August, while the higher diesel consumption growth was aided

Chart III.1: Weighted Contribution to GDP Growth

(Percentage points)



Note: Others include changes in stock, valuables, and statistical discrepancies.
Source: NSO.

[3] Based on the revised Index of Industrial Production (base 2022-23) and the new series of output Producer Price Index (base 2022-23), the National Statistics Office (NSO) revised the real GDP growth for 2025-26 upward by 10 bps to 7.8 per cent from the Provisional Estimates released in June 2026 (Annex Chart 1).

[4] In Q1:2026-27, wholesale two-wheeler and domestic passenger vehicle sales increased by 20.3 per cent and 25.7 per cent (*y-o-y*), respectively, as against contraction of 6.2 per cent and 1.4 per cent a year ago, while personal loans expanded by 15.8 per cent (11.7 per cent a year ago).

[5] In Q1:2026-27, IIP capital goods and capital goods imports grew by 15.2 per cent and 25.7 per cent, respectively, on top of 8.8 per cent and 14.3 per cent a year ago. Union government capital expenditure increased by 23.7 per cent (52.0 per cent a year ago), while finished steel consumption and cement production rose by 8.3 per cent and 8.9 per cent, respectively, on top of 8.0 per cent and 7.3 per cent a year ago.

[6] GST collections from imports grew at 29.0 per cent (y-o-y), while domestic GST revenue growth stood at 9.3 per cent (y-o-y) in August 2026.

by larger use of generators and other equipment. The overall petroleum consumption, however declined due to fall in consumption of liquified petroleum gas (LPG), naphtha and petroleum coke. Electricity demand accelerated driven by higher cooling and irrigation requirements.[7] Sustained double-digit growth in toll collection volumes indicated continued momentum in road transportation and logistics activity.[8] Digital payments continued to post robust growth in terms of both volumes and value (Table III.1).

Both rural and urban demand remained firm in August as reflected by robust two-wheeler sales and continued growth in passenger vehicle sales. Domestic air passenger traffic declined in August, partly reflecting capacity rationalisation by major aviation carriers and higher aviation turbine fuel costs (Table III.2).

The employment outlook remained robust in August. The all-India unemployment rate (based on Current Weekly Status) declined, driven by a fall in the rural unemployment rate.[9] The labour force participation rate (LFPR) and worker-population ratio (WPR) increased from the previous month in rural areas, while remaining unchanged in urban areas.[10] *Naukri* JobSpeak Index, an indicator of white-collar hiring, picked up sharply in August, supported by auto, healthcare, retail, insurance, and IT/software services. PMI employment in manufacturing

Table III.1: Healthy Overall Economic Activity

Indicator	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
GST E-way bills (Volume)	22.4	21.0	8.2	27.6	23.5	15.8	18.8	12.9	11.8	10.9	14.5	6.0	7.7
GST revenue	6.9	10.0	7.6	0.7	6.1	6.2	8.1	8.8	8.7	3.2	13.9	15.4	14.8
Toll collection (Volume)	16.1	13.9	17.2	17.1	15.8	15.5	7.8	14.1	13.2	13.5	15.4	15.5	14.3
Electricity demand (Volume)	3.8	3.5	-5.8	-0.6	5.8	3.8	1.0	0.8	3.0	10.8	10.8	9.8	12.8
Total consumption of petroleum products (Volume)	4.8	7.0	-1.5	0.6	4.5	0.3	4.5	3.2	-6.5	-8.1	-4.3	2.6	-2.8
Of which **Petrol**	5.5	8.0	7.4	2.6	7.1	6.1	6.1	7.6	6.8	3.4	7.4	9.2	8.2
Diesel	1.2	6.5	-0.3	4.8	5.2	3.3	4.3	8.1	0.8	1.6	6.1	10.0	6.8
Aviation Turbine Fuel	-2.9	-0.8	2.1	5.4	0.2	5.5	4.0	0.6	-0.1	1.0	-0.1	-0.6	2.1
Digital Payments - Volume Growth	31.1	28.1	21.5	30.2	26.8	25.4	23.5	21.0	22.3	21.3	21.6	18.9	16.7
Digital Payments - Value Growth	5.3	13.4	8.8	14.7	15.2	11.3	17.9	12.6	14.4	10.8	20.2	17.8	23.4

<<Contraction ---------- Expansion>>

Notes: 1. The y-o-y growth (per cent) has been calculated for all indicators.
2. The heatmap is applied on data from April 2023 to the latest month for which data is available.
3. Gross GST revenue includes three components- IGST, CGST, and SGST.
4. For digital payments, heatmap is applied on data from April 2024 to the latest month for which data is available.
5. Digital payments data for August 2026 are provisional.
6. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.

Sources: Goods and Services Tax Network; RBI; Central Electricity Authority; National Payments Corporation of India; and Ministry of Petroleum and Natural Gas.

[7] Year 2026 recorded the second highest mean temperature for August since 1901.

[8] In August 2025, FASTag annual passes were introduced for non-commercial vehicles on National Highways and Expressways. Maharashtra exempted passenger electric vehicles from tolls on the Mumbai-Pune Expressway, Samruddhi Mahamarg and Atal Setu. Data available on National Payments Corporation of India (NPCI) portal do not capture transactions under annual passes and toll exemptions. Consequently, the toll data reported in the earlier editions of this article also excluded them. The series has been revised from August 2025 onwards based on the supplementary data (transactions under annual pass and toll exemptions) obtained from NPCI.

[9] PLFS Monthly Bulletin, August 2026.

[10] Overall, the LFPR and WPR increased from 55.4 per cent and 52.5 per cent, respectively, in July 2026 to 55.6 per cent and 52.8 per cent in August 2026.

Table III.2: High Frequency Indicators- Resilient Demand Conditions

	Indicator	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
Urban demand	Domestic air passenger traffic	-0.5	-2.5	3.5	7.0	-4.9	3.1	-0.1	-1.3	-2.9	7.7	-1.2	-4.7	-6.0
	Retail passenger vehicle sales	8.2	5.8	10.7	20.4	26.6	7.2	26.1	21.5	18.1	23.2	28.6	19.1	16.1
Rural demand	Retail automobile sales	7.9	5.2	40.5	2.1	14.6	17.6	25.6	25.3	17.4	9.5	21.8	25.9	17.5
	Of which													
	Retail tractor sales	33.2	3.6	14.2	56.5	15.8	22.9	36.4	10.9	28.7	11.2	25.3	28.1	0.8
	Retail two-wheeler sales	6.6	6.5	51.8	-3.1	9.5	20.8	25.0	28.7	17.2	7.5	21.2	28.3	19.7

<<Contraction ---------- Expansion>>

Notes: 1. The y-o-y growth (in per cent) has been calculated for all indicators based on volume.
2. The heatmap is applied on data from April 2023 to the latest month for which data is available.
3. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
4. The data on domestic air passenger traffic for August 2026 growth rate is calculated by aggregating daily data.
5. Data for retail automobile sales consists of sales of two wheelers, three wheelers, passenger vehicles, tractors, and commercial vehicles.

Sources: Airports Authority of India; and Federation of Automobile Dealers Associations (FADA).

contracted amidst a slowdown in new orders and output. PMI employment for services increased following stronger orders and improved business sentiment. Demand for work under the *Viksit Bharat*–Guarantee for Rozgar and Ajeevika Mission (Gramin) [VB-G RAM G][11] rose during the month (Table III.3).

Government Finances

During April-July: 2026-27, the gross fiscal deficit of the Union government as a per cent of the full year budget estimates was lower than the corresponding period of the previous year (Chart III.2a).[12] The moderation was driven by a narrowing of the revenue deficit with robust tax collections and lower interest

Table III.3: Robustness in High Frequency Indicators for Employment

Indicator	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
Unemployment rate (PLFS: All-India)	5.1	5.2	5.2	4.7	4.8	5.0	4.9	5.1	5.2	5.5	5.5	5.1	5.0
Unemployment rate (PLFS: Rural)	4.3	4.6	4.4	3.9	3.9	4.2	4.2	4.3	4.6	5.1	5.0	4.5	4.1
Unemployment rate (PLFS:Urban)	6.7	6.8	7.0	6.5	6.7	7.0	6.6	6.8	6.6	6.4	6.6	6.7	6.8
Naukri JobSpeak Index	3.4	10.1	-9.3	23.5	13.2	3.4	11.9	9.2	5.8	1.0	6.1	5.0	13.7
PMI Employment: Manufacturing	53.1	52.1	52.4	50.9	50.5	51.1	51.5	52.6	54.6	53.0	50.8	50.3	49.8
PMI Employment: Services	52.2	51.9	51.4	51.6	49.8	50.8	51.6	52.7	53.4	53.2	50.3	52.4	55.8
VB GRAM G/MGNREGA: Work Demand	-26.2	-27.1	-35.1	-32.0	-28.9	-25.7	-14.1	-23.2	-35.5	-27.8	-18.5	-39.2	5.1

<<Contraction ---------- Expansion>>

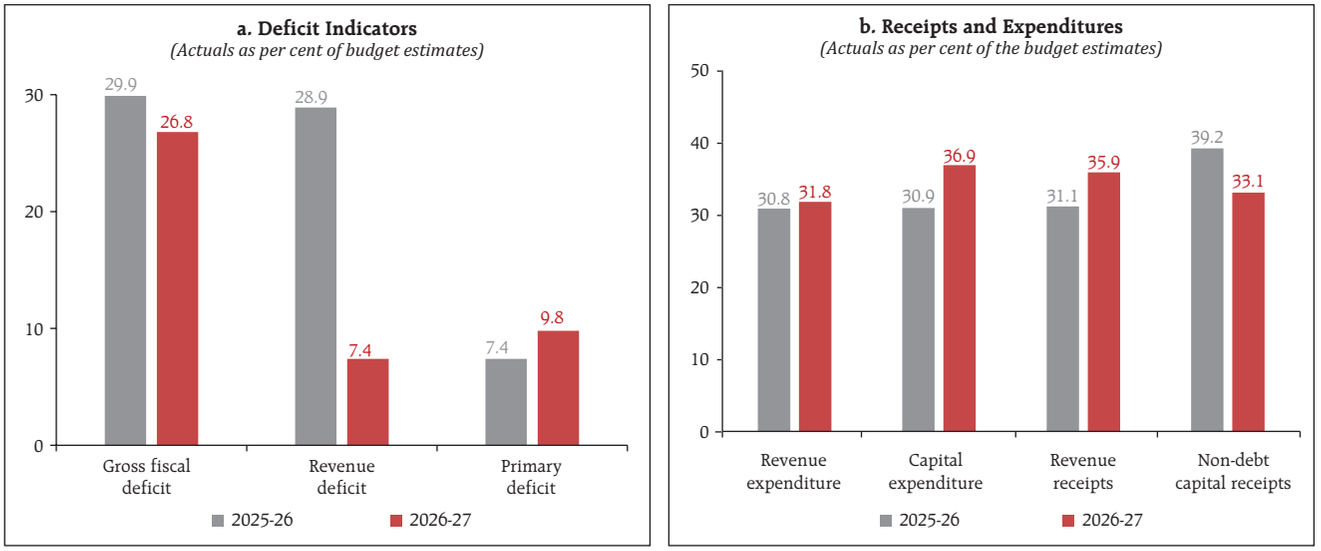
Notes: 1. All PLFS indicators are in the current weekly status and for people aged 15 years and above.
2. The y-o-y growth (in per cent) has been calculated for the *Naukri* index and VB-G RAM G/MGNREGS work demand.
3. The heatmap is applied to data from April 2023 to August 2026.
4. The heatmap for PLFS unemployment rate is applied to data from April 2025 to August 2026.
5. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
6. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.
7. PLFS unemployment rate and VB-G RAM G/MGNREGS are encoded in inverse scale- lowest is marked in green, highest is marked in red.

Sources: Ministry of Statistics and Program Implementation, Ministry of Rural Development, Info Edge and S&P Global.

[11] VB-G RAM G Act, 2025, which replaced the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), 2005, came into effect from July 01, 2026.

[12] As per the latest data released by the Controller General of Accounts (CGA).

Chart III.2: Major Fiscal Indicators of the Centre during April-July: 2026-27



Sources: Controller General of Accounts (CGA); and Union Budget Documents.

payments, despite higher subsidies.[13] The rise in gross tax collections was driven by double digit growth in corporation tax, income tax and customs duties.[14] Capital expenditure continued to record healthy growth, auguring well for the government's thrust on infrastructure (Chart III.2b).[15]

The key deficit indicators of states during April-July: 2026-27, as a proportion of budget estimates, were also lower than those recorded during the corresponding period a year earlier (Chart III.3). The improvement was primarily driven by a moderation in revenue expenditure alongside an increase in revenue receipts. Within revenue receipts, state GST recorded robust growth, while collections from state excise duties and sales tax also remained strong. On the expenditure side, capital expenditure continued to register high growth.

Trade

Merchandise trade deficit narrowed to its lowest level in 2026-27 so far in August (Chart III.4).[16] It was driven by a decline in gold imports, even as deficit in electronic goods and oil widened.[17]

Both merchandise exports and imports recorded double-digit growth (*y-o-y*) for the fifth consecutive month in August 2026. Export growth accelerated to its highest rate since June 2022, driven by electronic goods, engineering goods, and petroleum products.[18] Exports of ready-made garments of

[13] During April-July 2026-27, net tax revenue recorded a growth rate (y-o-y) of 27.6 per cent as compared to (-)7.5 per cent (y-o-y) in the corresponding period of the previous year. During the same period, major subsidies (food, fertiliser and petroleum) and interest payments grew (y-o-y) by 35.1 per cent and (-)4.5 per cent, respectively, as compared to (-)9.6 per cent and 36.2 per cent, respectively, in the corresponding period of the previous year.

[14] During April-July 2026-27, gross tax collections registered a growth of 11.4 per cent as compared to 0.8 per cent during the corresponding period a year ago. Revenue from corporation tax, income tax and customs duty increased (y-o-y) by 20.8 per cent, 24.3 per cent and 38.2 per cent, respectively during April-July 2026-27 as compared to a growth of 7.6 per cent, (-)9.9 per cent and (-)10.4 per cent, respectively, in the corresponding period of the previous year.

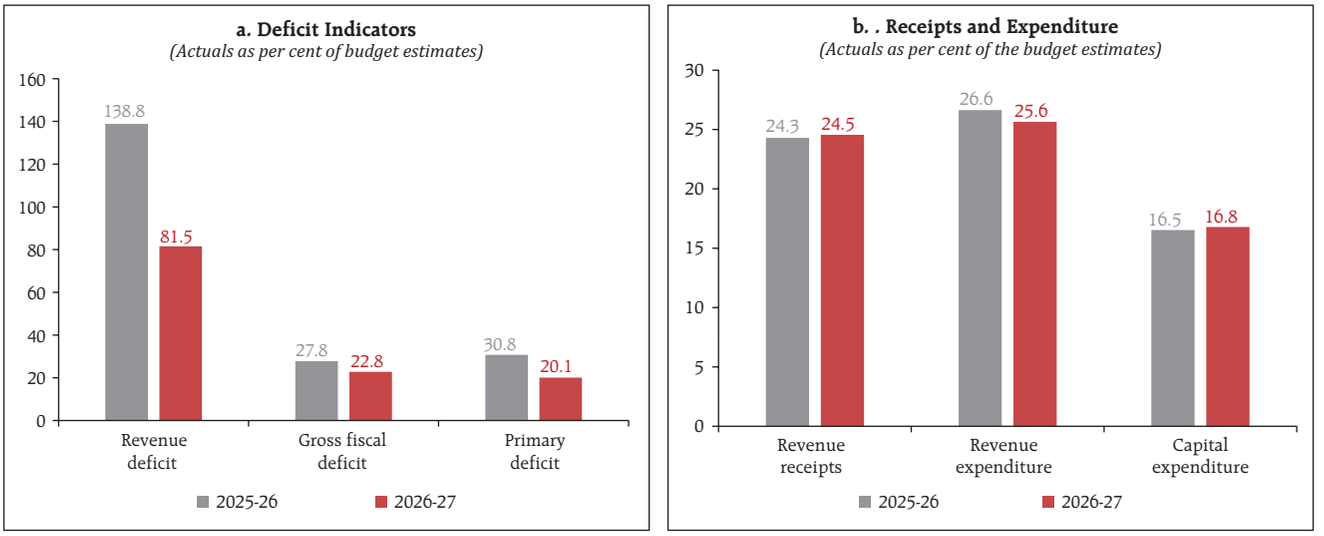
[15] During April-July 2026-27, capital expenditure grew (y-o-y) by 29.9 per cent, as compared to 32.8 per cent, in the corresponding period of the previous year.

[16] India's merchandise trade deficit narrowed both sequentially and on *y-o-y* basis to US$ 26.9 billion in August 2026 from US$ 27.2 billion in August 2025 and US$ 32.0 billion in July 2026. Exports recorded a robust growth of 26.1 per cent (*y-o-y*) in August 2026, while imports increased by 14.1 per cent (*y-o-y*).

[17] Gold deficit dropped to US$ 1.3 billion in August 2026 from US$ 4.5 billion in August 2025 and US$ 3.0 billion in July 2026. Electronic goods deficit widened to US$ 8.1 billion in August 2026 from US$ 6.8 billion in August 2025, while oil deficit widened to US$ 9.9 billion from US$ 9.1 billion during the same period.

[18] Exports growth (*y-o-y*) of electronic goods, engineering goods, and petroleum products were 89.8 per cent, 24.9 per cent, and 63.3 per cent, respectively.

Chart III.3: Major Fiscal Indicators of the States during April-July: 2026-27

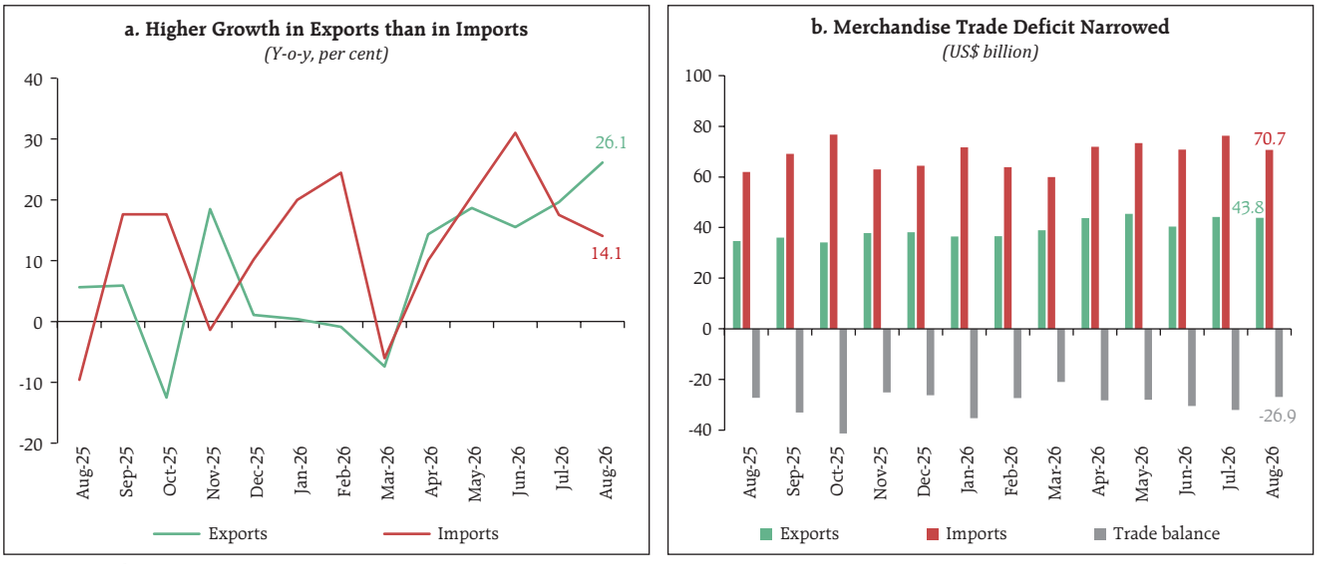


Note: Data pertain to 24 States.
Source: Comptroller and Auditor General of India.

all textiles contracted.[19] Destination-wise, export growth was broad-based with exports to the US and China growing at double-digit rates for the second and thirteenth consecutive months, respectively.[20] Exports to West Asia continued to contract (*y-o-y*) in August 2026.[21]

Import growth, *albeit* at a lower rate during the last four months, was driven mainly by electronic

Chart III.4: India's Merchandise Trade Deficit Narrowed in August 2026



Source: PIB; and DGCI&S.

[19] Exports of ready-made garments of all textiles recorded a contraction of 2.7 per cent (*y-o-y*).

[20] Exports to 17 out of 20 major destinations expanded. Merchandise exports to the US increased by 21.8 per cent (*y-o-y*) in August 2026, while exports to China increased by 52.4 per cent (*y-o-y*).

[21] Barring a brief return to growth in June 2026, exports to West Asia have been contracting since February 2026. Quick estimates available for two West Asian countries, indicate that exports to Saudi Arabia and UAE contracted by 17.5 per cent (y-o-y) and 26.1 per cent (*y-o-y*), respectively in August 2026.

goods, and petroleum, crude and products.[22] Gold imports contracted in August, after moderating since May 2026 following the imposition of the import duty.[23] Imports of silver, sulphur and unroasted iron pyrites recorded sharp increase.[24] Destination wise, imports from Oman, Brazil and Nigeria continued to grow at triple-digit rates, partly reflecting crude import diversification.

Net services exports continued to grow at a robust pace in July 2026[25], supported by strong growth in exports, while imports rose at a faster pace (Chart III.5). The rise in services exports was primarily driven by business, software, and transport services, while travel, transport and business services supported the growth in services imports.

Chart III.5: Net Services Exports Recorded Robust Growth in July

(Y-o-y, per cent)



Source: RBI.

Aggregate Supply

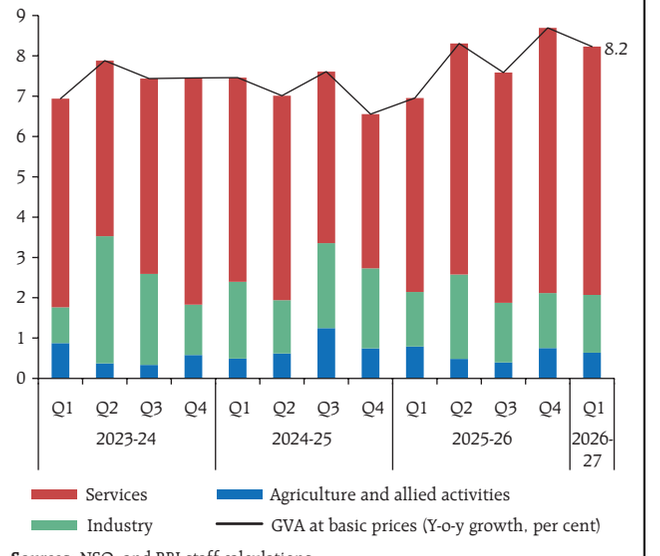
The real gross value added (GVA) grew by 8.2 per cent in Q1:2026-27 supported by strong manufacturing and services activity. The growth in services sector was broad-based across all its major subsectors, particularly financial, real estate, and professional services. The growth in manufacturing was evident from the robust performance of the private corporate sector. Agriculture and allied activities grew on the back of strong *rabi* production and resilient allied sector activity (Chart III.6 and Annex Table A2).

Agriculture

After a pick-up in July, the south-west monsoon rainfall got subdued in August (Chart III.7).[26] Consequently, the reservoir storage stood below the decadal average, *albeit* at a higher level than the preceding *El Niño* year of 2023.[27] Although the sowing

Chart III.6: Weighted Contribution to GVA Growth

(Percentage points)



Sources: NSO; and RBI staff calculations.

[22] Imports growth (*y-o-y*) in May, June, July and August were 20.6 per cent, 31.0 per cent, 17.5 per cent, and 14.1 per cent, respectively. Around 85 per cent of total *y-o-y* increase in imports in August was due to two commodities, *viz.*, electronic goods (45.2 per cent, *y-o-y*) and petroleum crude and products (39.3 per cent, *y-o-y*).

[23] Gold imports contracted by 57.7 per cent (y-o-y) to US$ 2.3 billion in August 2026, from US$ 5.4 billion in August 2025. Gold imports were also substantially lower compared to US$ 4.2 billion in July 2026.

[24] Silver imports grew by 127.1 per cent (*y-o-y*) in August 2026. Import of sulphur and unroasted iron pyrites, which are important components for select fertilisers, rose by 700.3 per cent (*y-o-y*) in August 2026 partly reflecting base effect.

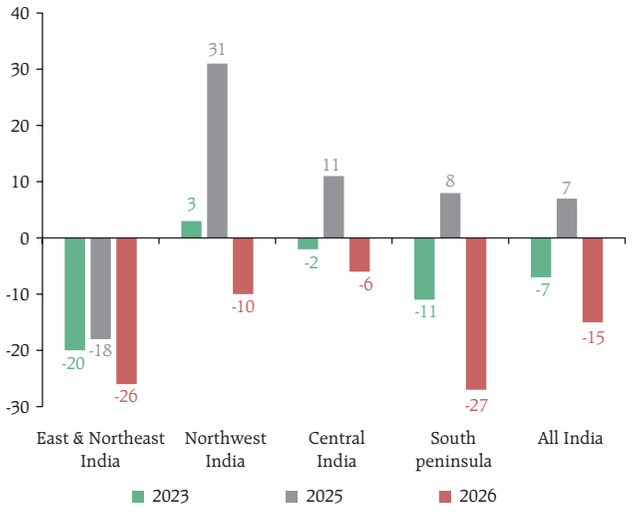
[25] Net services exports grew by 7.3 per cent (y-o-y) to US$ 17.6 billion in July 2026. During April-July 2026, net services exports increased to US$ 69.3 billion from US$ 64.3 billion during the same period last year.

[26] The cumulative rainfall deficit from its respective long period average (LPA) increased from 13 per cent at end-July to 14 per cent at end-August. The monthly rainfall during August 2026 was 16 per cent below LPA.

[27] The reservoir storage as on September 17 stood at 71 per cent, 90 per cent, 66 per cent and 78 per cent of full reservoir capacity in 2026, 2025, 2023 and decadal average, respectively.

Chart III.7: Southwest Monsoon Rainfall

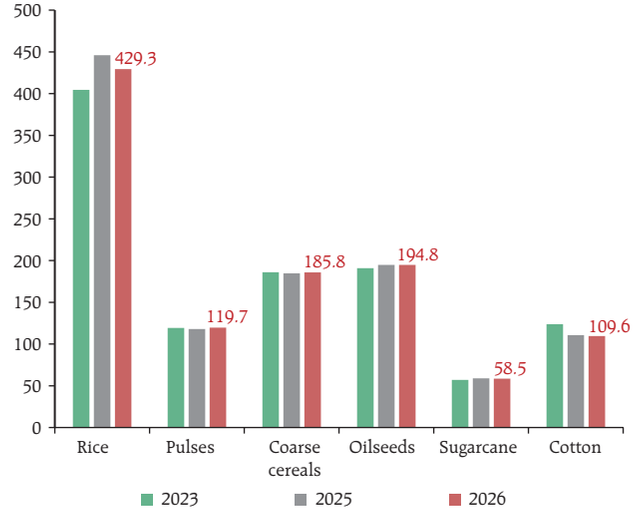
(Deviation from long period average in per cent)



Note: Data for rainfall pertains to June 01- September 21.
Source: India Meteorological Department (IMD).

Chart III.8: Progress of *Kharif* Sowing

(Lakh hectares)



Note: Data is as on September 18.
Source: Ministry of Agriculture and Farmers' Welfare.

in the *kharif* season is nearing its end, soil moisture remains critical for ensuring the overall crop growth (Chart III.8).[28] The India Meteorological Department (IMD) has given a below normal forecast of rainfall at the all-India level for September.[29]

A good harvest in the previous year has, however, resulted in robust procurement of rice and wheat, leading to comfortable public foodgrain stocks.[30]

Industry and Services

Monthly Indicators of Industrial Activity

Based on high-frequency indicators, industrial activity remained resilient despite the geopolitical tensions in West Asia. Industrial output as per the index of industrial production (IIP) continued to grow at a robust pace in July, with some sequential moderation. In August, the Manufacturing PMI remained in the expansionary zone, *albeit* with slight moderation over the previous months. Export orders, though they eased from July, continued in the expansion zone. Firms' expectations for future output improved, backed by a positive outlook for demand and new business opportunities. Electricity generation remained strong, with conventional power generation responding to elevated demand. Automobile production continued to register strong growth across categories amidst upcoming festive demand. The index of core industries (ICI) remained resilient in August, supported by cement and electricity. Capital goods imports remained strong, suggesting sustained investment demand (Table III.4).

Reflecting the continued efforts for broad based transition towards clean energy, the Electric Vehicle (EV)[31] penetration rate crossed the 10 per cent mark in 2026 (up to September 21) [Chart III.9a].[32] Out of the

[28] As on September 18, 2026, the *kharif* sowing at 1103.9 lakh hectares was 100 per cent of full season normal area and 1.3 per cent lower than previous year; however, it was 1.4 per cent higher than 2023. Also, the area under two major *kharif* pulses, *viz.*, *tur* and *urad*, increased.

[29] The rainfall for September 2026 is forecast at less than 91 per cent of LPA.

[30] Rice procurement during *Kharif* Marketing Season (KMS) 2025-26 (Oct-Sep), as on September 23, 2026, stood at 574 lakh tonnes which was 5.6 per cent higher than corresponding period of KMS 2024-25. Rice procurement for KMS 2026-27 has started in Tamil Nadu. Wheat procurement during *Rabi* Marketing Season (RMS) 2026-27 (Apr-Mar) at 357.6 lakh tonnes surpassed government's procurement target of 355.4 lakh tonnes and stood 19.4 per cent higher than the procurement during RMS 2025-26. As on September 01, 2026, the rice and wheat stocks stood at 4.4 times and 1.7 times the respective quarterly buffer norms.

[31] EV vehicle types include Pure EV and Battery-operated vehicles categories.

[32] EV penetration rate is calculated by dividing new EV registrations with total new vehicle registrations.

Table III.4: High Frequency Indicators for Industry Remained Resilient

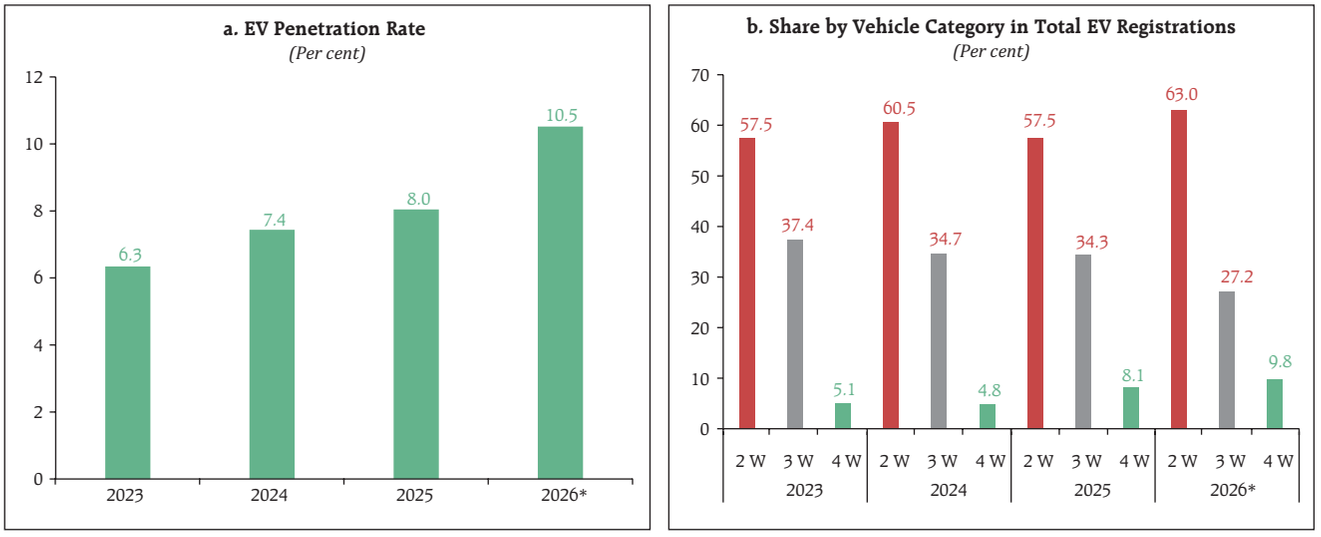
Indicator	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
IIP-Headline	4.7	6.1	-0.9	7.0	6.7	4.1	4.4	3.0	4.9	5.0	8.8	6.7	
IIP Manufacturing	3.6	5.5	-0.7	8.8	7.7	4.6	5.7	4.0	6.1	5.2	9.5	7.3	
IIP capital goods	6.0	13.2	5.4	16.6	12.9	12.4	16.5	8.5	12.0	15.5	17.9	16.1	
PMI Manufacturing	59.3	57.7	59.2	56.6	55.0	55.4	56.9	53.9	54.7	55.0	54.2	53.5	52.8
PMI Export order	56.1	56.5	54.7	54.1	54.0	54.1	53.2	55.0	56.3	53.7	52.1	54.3	53.0
PMI Manufacturing: Future output	60.5	64.8	62.3	57.1	56.9	56.4	57.9	67.3	65.5	64.1	56.8	57.6	57.9
Index of Core Industries	6.2	3.1	0.8	3.5	5.6	5.2	3.2	2.9	2.7	3.2	6.0	5.0	4.8
Electricity generation: Conventional (Volume)	1.0	0.8	-10.6	-5.0	4.4	2.2	-1.5	-1.1	2.3	7.5	8.3	7.4	7.8
Electricity generation: Renewable (Volume)	22.7	16.4	21.4	22.9	18.0	22.9	25.3	11.7	23.2	29.9	24.7	17.3	
Automobile Production (Volume)	8.1	10.8	-2.8	22.3	37.1	15.0	22.1	20.2	26.0	13.4	27.5	24.8	16.9
Of which Passenger vehicle	-4.1	16.1	9.8	22.8	23.1	5.6	9.8	9.0	12.8	10.9	17.6	26.4	25.7
Two-wheelers	10.0	9.8	-5.6	20.9	39.9	16.1	24.4	22.0	28.1	13.0	28.3	24.2	15.2
Three-wheelers	15.8	15.9	15.9	55.4	39.6	33.2	29.9	34.0	41.6	32.9	42.8	30.0	21.5
Tractor production (Volume)	9.4	23.0	13.0	37.5	57.9	14.6	80.0	28.6	18.1	15.5	10.2	6.7	13.6
Crude steel production (Volume)	12.8	13.7	8.9	11.1	10.8	11.5	11.4	10.6	4.5	1.9	4.4	1.4	
Finished steel production (Volume)	13.8	14.0	7.2	12.4	10.9	12.5	8.6	8.2	6.3	6.8	3.8	1.5	
Import of capital goods (Value)	0.2	12.7	11.8	14.8	17.5	7.5	18.2	13.2	21.6	18.1	38.8	25.5	23.7

<<Contraction ---------- Expansion>>

Notes: 1. The y-o-y growth (in per cent) has been calculated for all indicators (except for PMI).
2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
3. The heatmap is applied on data from April 2023 to the latest month for which data is available.
4. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Sources: Ministry of Statistics and Programme Implementation (MoSPI); S&P Global; Central Electricity Authority (CEA), Ministry of Power; Society of Indian Automobile Manufacturers (SIAM); Office of Economic Adviser, GoI; Joint Plant Committee; Directorate General of Commercial Intelligence & Statistics; and Tractor and Mechanisation Association.

Chart III.9: Growth and Composition of India's EV Market



*: Data accessed as on September 21, 2026; W: Wheeler.
Sources: Vahan Dashboard; and RBI Staff calculations.

total EV registrations, the share of the two-wheeler (2W) and four-wheeler (4W) segments were on the rise (Chart III.9b).

Monthly Indicators of Services Activity

Services sector activity remained robust in August. Services PMI witnessed a pick-up in August, supported by resilient demand and strong growth in new businesses. Retail commercial vehicle sales registered robust growth, bolstered by light and heavy vehicle segments. However, international air passenger traffic continued to shrink, although the pace of contraction eased in August. Domestic logistics activity remained firm, with port cargo traffic recording healthy growth. Cement production sustained the double-digit growth momentum in August (Table III.5).

Inflation

Headline CPI inflation[33] increased to 4.8 per cent (*y-o-y*) in August from 4.5 per cent in July 2026, driven by food and beverages and a pickup in fuel and core components (CPI inflation excluding food and fuel) [Chart III.10].[34] Ten out of twelve divisions faced a sequential rise in inflation in August (Chart III.11).

The increase in 'food and beverages' inflation was broad-based driven by cereals, oils and fats, sugar, confectionery and desserts. On a month-on-month basis, CPI indices for all sub-components of 'food and beverages' except meat, fish and eggs rose in August. Fuel inflation also edged up in August.[35]

Table III.5: High Frequency Indicators for Services Remained Robust

Indicator	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
PMI Services	62.9	60.9	58.9	59.8	58.0	58.5	58.1	57.5	58.8	59.8	57.4	53.3	54.1
International air passenger traffic	7.7	7.3	9.7	7.5	6.0	7.1	3.0	-18.5	-16.1	-9.1	-4.6	-4.6	-3.4
Domestic air cargo	7.1	2.8	-2.3	20.5	4.3	8.7	18.5	10.8	7.0	10.7	9.4	4.2	
International air cargo	4.5	2.3	-2.3	12.7	12.6	8.4	17.5	-6.0	11.6	10.4	19.4	14.9	
Port cargo traffic	2.5	11.5	11.9	14.5	12.7	7.6	5.1	0.6	2.4	6.6	9.2	8.8	8.4
Railway freight traffic: freight originating	8.5	3.9	2.3	4.2	3.2	2.9	4.0	3.1	-1.0	1.4	4.0	8.9	5.3
Retail commercial vehicle sales	13.9	2.7	21.1	17.0	24.6	15.1	28.9	15.1	18.8	5.3	16.9	24.0	14.5
Steel consumption	7.2	8.9	2.4	6.0	5.4	4.9	12.8	13.7	8.1	9.4	7.4	5.9	
Cement production	5.4	5.1	5.2	15.1	14.0	11.3	9.1	4.7	8.3	8.4	9.9	12.7	12.5
Foreign tourist arrivals	-5.1	-9.8	-5.1	-2.0	2.0	5.2	6.1	-1.6	-14.7	9.0	6.6		
Hotel occupancy	-3.2	-0.6	0.0	3.8	-1.5	-8.5	1.2	-4.0	-1.0	9.9	5.5	2.8	

<<Contraction ---------- Expansion>>

Notes: 1. The y-o-y growth (in per cent) has been calculated for all indicators (except for PMI).
2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
3. The heatmap is applied to data from April 2023 to the latest month for which data is available.
4. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.
5. The data on international air passenger traffic for August 2026 growth rate is calculated by aggregating daily data.

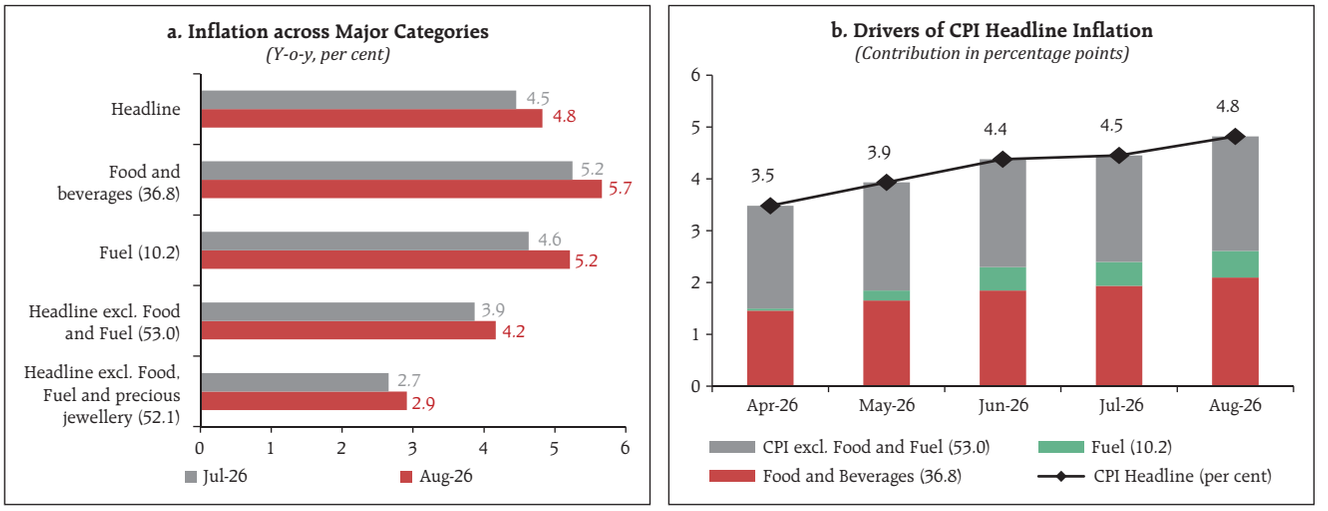
Sources: Federation of Automobile Dealers Associations (FADA); Indian Ports Association; Ministry of Railways; Airports Authority of India; Joint Plant Committee, Ministry of Steel; Office of Economic Adviser, Ministry of Commerce & Industry; Ministry of Tourism; HVS Anarock; and S&P Global.

[33] As per the provisional data released by the National Statistics Office (NSO) on September 14, 2026.

[34] On a month-on-month basis, the index recorded a positive momentum of 73 basis points (bps), which was partly offset by a favourable base effect of around 38 bps. All the major constituents of CPI, *viz.*, food and beverages, fuel, and core (excluding food and fuel) recorded a positive momentum in August. Fuel represents the group 'Electricity, gas and other fuels' and a class 'Fuels and lubricants' for personal transport equipment [which includes items Diesel, Petrol and Other natural gas (compressed natural gas)].

[35] CPI fuel inflation rose to 5.2 per cent in August 2026 from 4.6 per cent in July 2026. Deflation in electricity narrowed to 1.1 per cent in August from 3.1 per cent in July.

Chart III.10: Broad-Based Uptick in CPI Headline Inflation in August



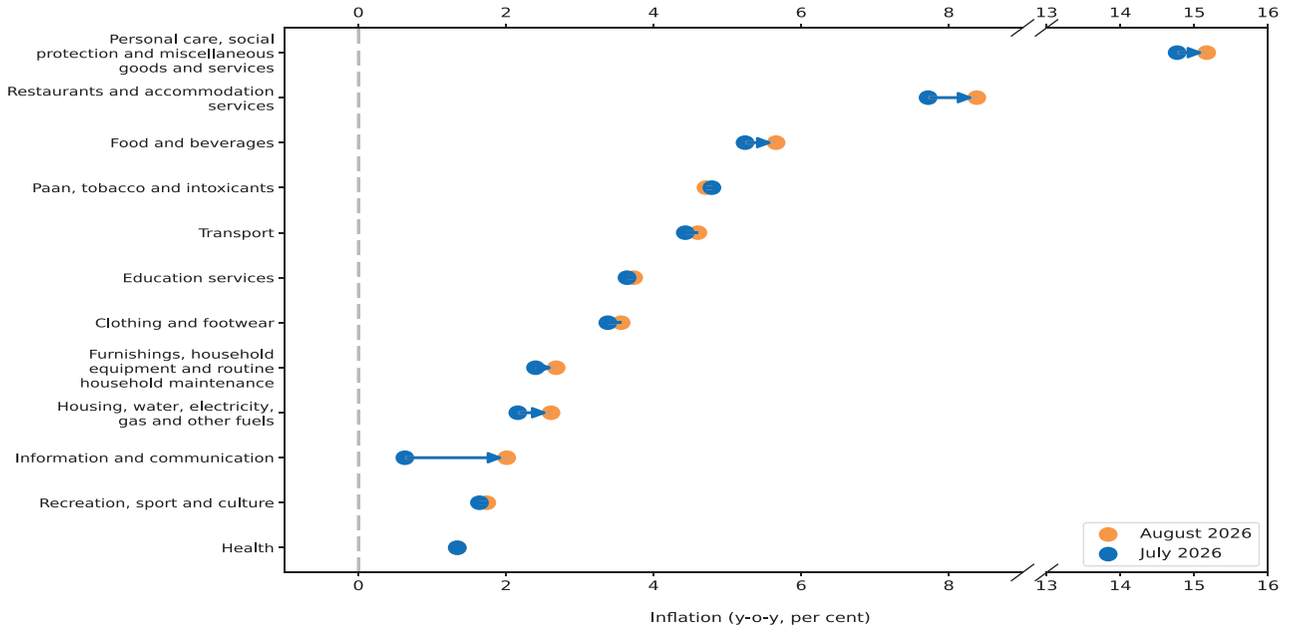
Notes: 1. Figures in parentheses indicate weights in Consumer Price Index - Combined (CPI-C) (2024=100).
2. Precious jewellery includes the items 'gold/diamond/platinum jewellery' and 'silver jewellery'.
Source: National Statistics Office (NSO); and RBI staff calculations.

Inflation moved up in both urban and rural areas in August.[36] The majority of States/UTs recorded inflation in the range of 4-6 per cent (Chart III.12).[37]

Core inflation rose to 4.2 per cent in August after remaining steady at 3.9 per cent for three consecutive months. Even after excluding precious

Chart III.11: Division-wise Change in Inflation Rates

(Y-o-y, per cent)



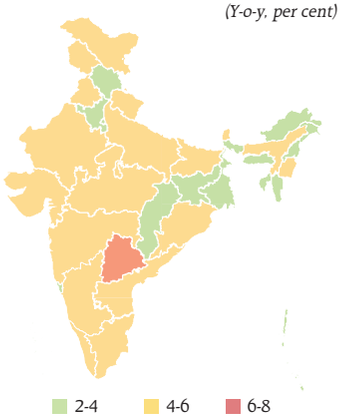
Sources: NSO; and RBI staff calculations.

[36] Inflation stood at 4.3 per cent and 5.2 per cent, respectively, in urban and rural areas in August. In July, the corresponding numbers were 4.0 per cent and 4.8 per cent, respectively.

[37] Inflation ranged from 2.4 per cent to 6.3 per cent across states/UTs.

Chart III.12: Spatial Distribution of Inflation: August 2026

(Y-o-y, per cent)



Inflation Range	Number of States/UTs
<2	0
2-4	14
4-6	20
6-8	2

Monthly Inflation Trend	Number of States/UTs
Decline or Stable	12
Increase	24

Notes: 1. Map is for illustrative purposes only.
2. Andaman and Nicobar Islands and Lakshadweep experienced inflation of 3.8 per cent and 3.1 per cent, respectively.

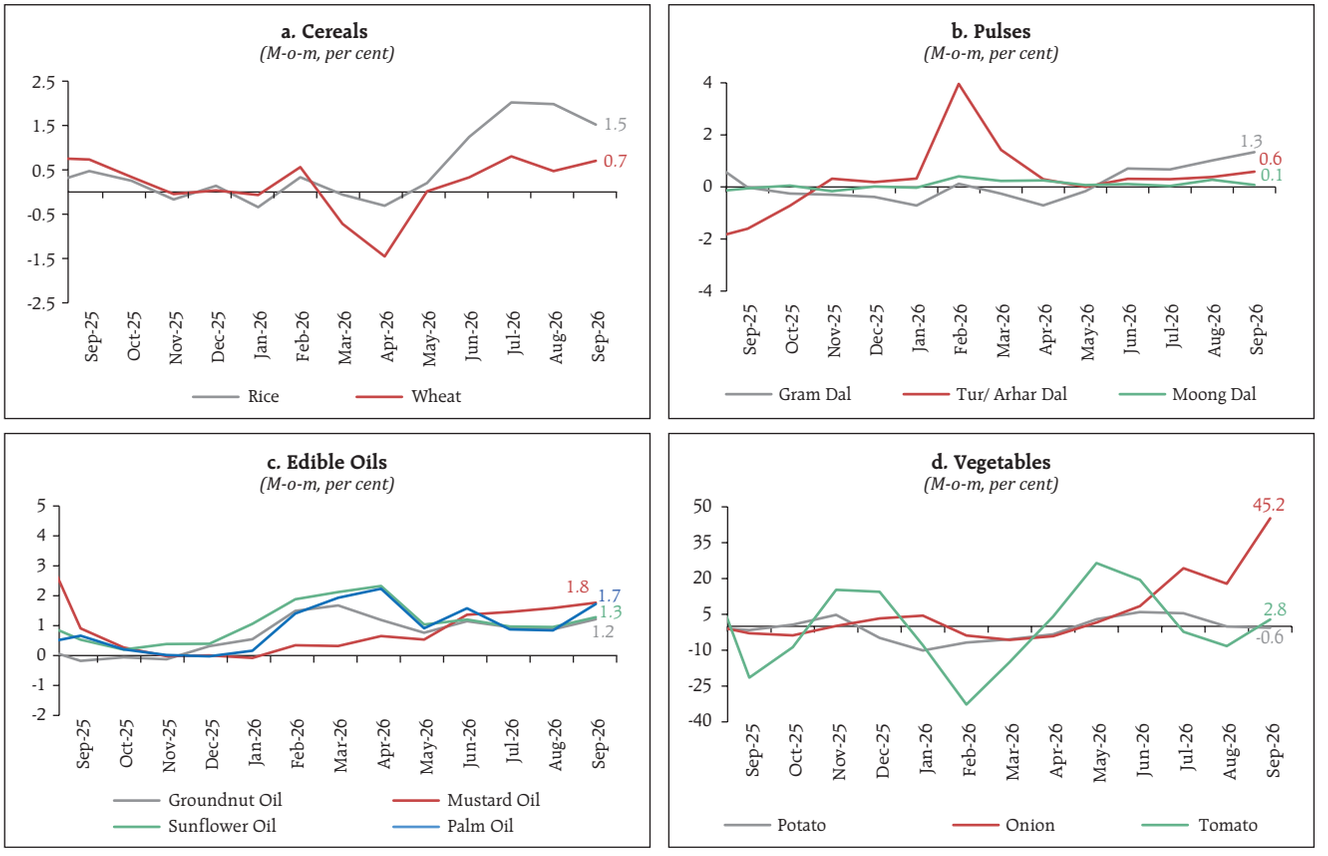
Sources: NSO; and RBI staff calculations.

metals, core inflation was higher at 2.9 per cent in August compared with 2.7 per cent in July. Within the core, inflation remained elevated in 'personal care, social protection and miscellaneous goods and services' and 'restaurant and accommodation services' groups.

Until September 21, high-frequency data suggest a broad-based sequential increase in food prices. Among cereals, rice and wheat prices continue to rise, though the pace of *m-o-m* increase moderated for rice. Prices of all major pulses–gram, tur and moong inched up over the previous month. Edible oil prices also registered a broad-based increase, led by mustard and palm oil. Among key vegetables, onion prices increased sharply, and tomato prices inched up after two months of moderation, while potato prices recorded a m-o-m decline (Chart III.13).

Retail prices of petrol, diesel, and domestic LPG remained unchanged until September 21 (Table III.6).

Chart III.13: Broad Based Food Price Pressures in September 2026



Note: Data pertains to September 1-21, 2026, and reflects the m-o-m changes in average prices compared to the corresponding period of the previous month.
Sources: Department of Consumer Affairs, GoI; and RBI staff calculations.

Table III.6: Petroleum Product Prices Remained Unchanged in August and September

Item	Unit	Domestic Prices			Month-over-month (per cent)	
		Sep-25	Aug-26	Sep-26 ^	Aug-26	Sep-26 ^
Petrol	₹/litre	101.1	108.7	108.7	0.0	0.0
Diesel	₹/litre	90.5	98.1	98.1	0.0	0.0
Kerosene (subsidised)	₹/litre	44.3	46.8	46.8	0.0	0.0
Domestic LPG (non-subsidised)	₹/cylinder	863.3	952.3	952.3	0.0	0.0

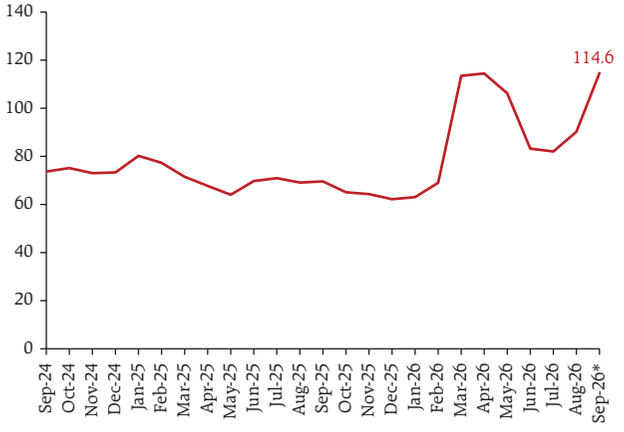
^: For the period September 01-21, 2026.
Note: Other than kerosene, prices represent the average Indian Oil Corporation Limited (IOCL) prices in four major metros (Delhi, Kolkata, Mumbai and Chennai). For kerosene, prices denote the average of the subsidised prices in Kolkata, Mumbai and Chennai.
Sources: IOCL; Petroleum Planning and Analysis Cell (PPAC); and RBI staff calculations.

The price of the Indian basket crude oil[38] increased to US$ 114.6 per barrel in September (till 18th), its highest level since April 2026 (Chart III.14).

Wholesale Price Index (WPI) inflation marginally rose to 9.9 per cent in August from 9.8 per cent in July, led by higher fuel and power, and manufactured products group inflation. However, inflation in primary articles moderated.[39] Industrial and farm input cost inflation remained elevated.[40] Output Producer Price Index (OPPI)-based inflation inched up marginally to 9.8 per cent in August from 9.6 per cent in July, led by manufacturing products, and mining & quarrying.

Chart III.14: Indian Basket Crude Oil Prices Increased in September

(USD per barrel)



*: Data up to September 18, 2026.
Note: Data indicates monthly average.
Source: Petroleum Planning and Analysis Cell (PPAC).

The PMI input and output prices for both manufacturing and services remained in the expansionary zone. While the pace of expansion moderated further in the case of manufacturing, input and output price indices for services sector rose in August. The gap between input and output price indices narrowed for both manufacturing and services sector firms (Chart III.15).

IV. Financial Conditions

System liquidity[41] remained in surplus in August and surged further in September (till 21st), amidst strong inflows under the FCNR(B) swap facility.[42] System liquidity, however, moderated amidst tax related outflows and RBI's durable liquidity measures during the second half of September. The reliance of banks on the marginal standing facility (MSF) commensurately declined, and the daily deployment under the standing deposit facility (SDF) rose (Chart IV.1).[43] RBI conducted term as well as fine-tuning variable rate reverse repo (VRRR) auctions to mop

[38] Represents a derived basket of Sweet grade (Brent dated) and sour grade (Oman and Dubai average) imported by Indian refineries during the month in the ratio 79:21 for July, 75:25 for August and 78:22 for September (approximately).

[39] Inflation in fuel and power group, manufactured products group, and primary articles was at 22.9 per cent, 8.4 per cent, 7.8 per cent in August compared to 20.0 per cent, 8.3 per cent and 8.5 per cent in July 2026, respectively.

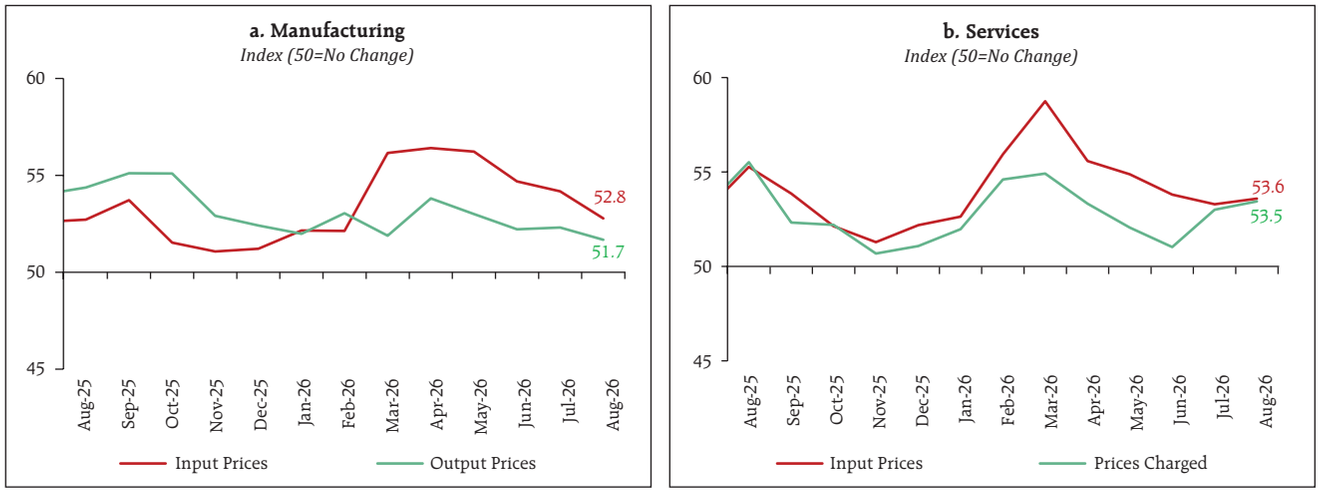
[40] Inflation in industrial inputs inched up to 15.6 per cent in August from 15.0 per cent in July while inflation in farm inputs marginally moderated to 10.0 per cent in August from 10.9 per cent in July. Industrial input cost comprises primary non-food articles, minerals, coal, aviation turbine fuel, high speed diesel, naphtha, bitumen, furnace oil, lube oil, petroleum coke, electricity, cotton yarn and paper and pulp from WPI. Farm input cost comprises high speed diesel, fodder, electricity, fertilisers, pesticides and agricultural and forestry machinery from WPI.

[41] As measured by the average daily net absorption under the liquidity adjustment facility (LAF).

[42] Overall, daily average net absorption under the LAF increased to ₹9.2 lakh crore during September (till 21st) from ₹3.8 lakh crore in August and ₹1.2 lakh crore in July.

[43] Average balances under the standing deposit facility rose to ₹2.17 lakh crore during September (till 21st), from ₹2.13 lakh crore in August. Average daily borrowings under the marginal standing facility fell to ₹976 crore during September (till 21st) from ₹1,298 crore during August.

Chart III.15: PMI Input and Output Prices for Manufacturing and Services



Note: A level of 50 corresponds to no change in activity, and a reading above 50 denotes expansion and *vice versa*.
Source: S&P.

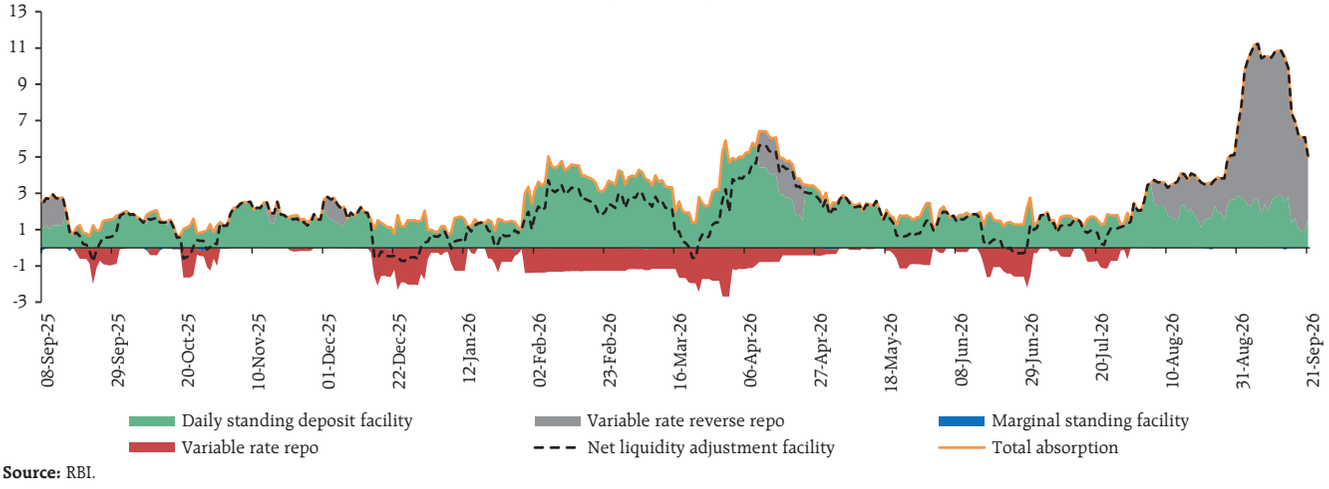
up excess liquidity.[44] On review of current and evolving liquidity conditions, the RBI also announced open market operation (OMO) sale auctions for an aggregate amount of ₹1 lakh crore.[45]

Money Market

The weighted average call rate (WACR) largely traded in the lower half of the policy corridor during August and September (till 21st) [Chart IV.2a].[46] Overnight rates in the collateralised segment evolved in line with the WACR and the changes in system liquidity. While yields on 3-month Treasury Bills remained largely range-bound till early September, yields on commercial papers (CPs) and certificates of deposit (CDs) fell sharply amidst a surge in system

Chart IV.1: System Liquidity Surged in September

(₹ lakh crore)



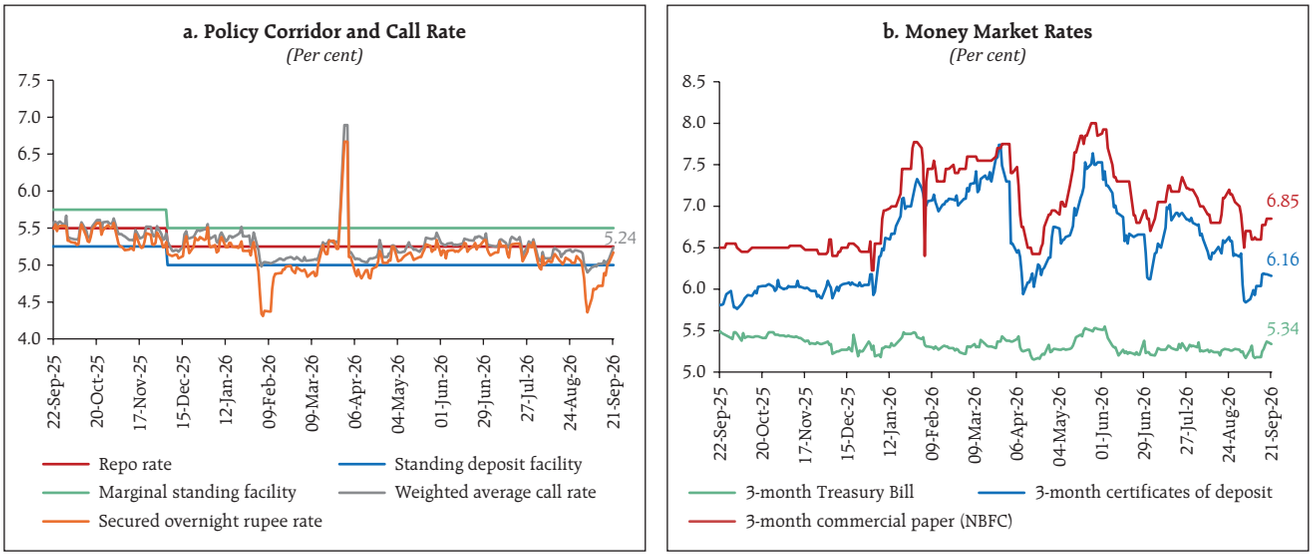
Source: RBI.

[44] During August-September (till 21st), the Reserve Bank conducted 40 fine-tuning VRRR auctions of overnight to 7-day maturities which saw an average bid-offer ratio of 0.68. Additionally, three term VRRR auctions of more than 14-days maturity were also conducted with an average bid-offer ratio of 0.24.

[45] Reserve Bank announced OMO sale auctions of Government of India securities for an aggregate amount of ₹1 lakh crore in three tranches of ₹50,000 crore, ₹25,000 crore, and ₹25,000 crore to be held on September 17, 2026, September 21, 2026, and September 28, 2026. The first two auctions conducted till September 21st saw robust demand with average bid-offer ratio of 2.36.

[46] On an average, the WACR moderated to 5.03 per cent during September (till 21st) from 5.15 per cent in August.

Chart IV.2: Policy Corridor and Money Market Rates



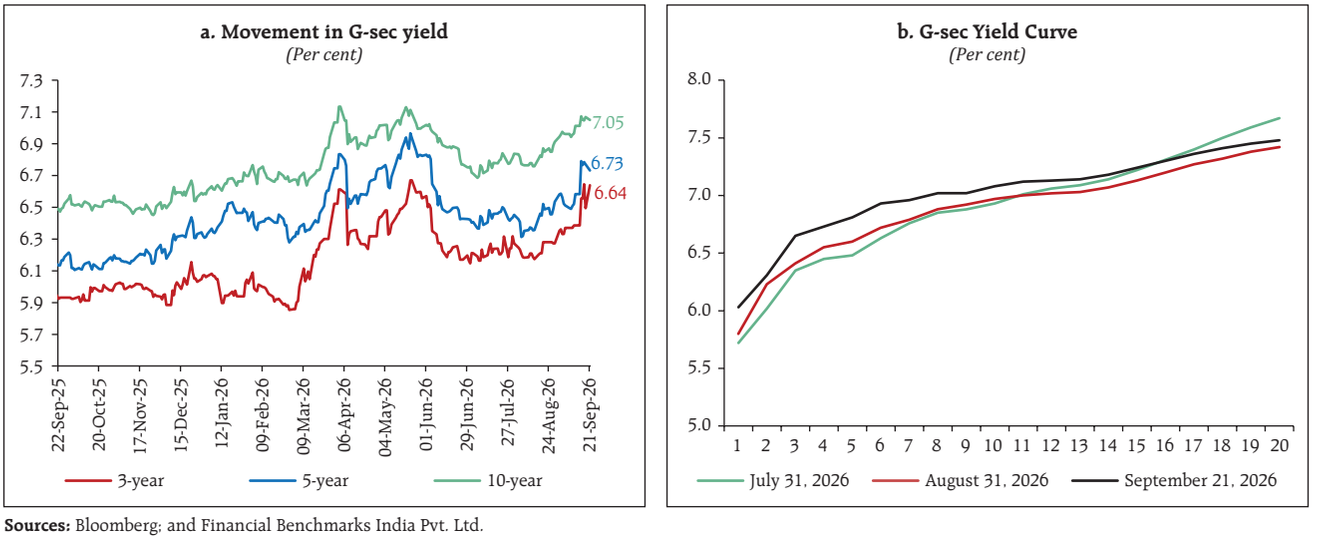
Sources: RBI; and Bloomberg.

liquidity. As the system liquidity surplus tapered later in the month, the yields witnessed hardening (Chart IV.2b).[47] The spread between the yield on 3-month CP and the 3-month Treasury bill narrowed in September.[48]

Government Securities (G-Sec) Market

G-sec yields hardened through mid-August till September (till 21st) amidst renewed geopolitical tensions in West Asia, volatility in crude oil prices and a rise in US Treasury yields (Chart IV.3a).[49] The yield curve hardened across tenors in September (as on 21st) as compared to end-August levels (Chart IV.3b).

Chart IV.3: G-sec Yields Hardened from Mid-August



Sources: Bloomberg; and Financial Benchmarks India Pvt. Ltd.

[47] The average yields on 3-month Treasury Bills declined by 1 basis point (bp) in September (till 21st) over August. On the other hand, the yields on 3-month CDs and CPs issued by NBFCs softened sharply by 47 bps and 28 bps respectively, during the same period.

[48] Contracted to an average of 145 bps in September (till 21st) from 172 bps in August.

[49] 10-year G-sec yield closed at 7.05 per cent as on September 21, 2026, higher than its end-August close at 6.95 and its end-July close at 6.84 per cent.

Corporate Bond Market

Corporate bond issuances moderated in July and also on a cumulative basis in the current financial year as compared to the same period in the previous year.[50] Corporate bond yields and spreads generally hardened across tenors and the rating spectrum in September (till 21st) [Table IV.1].

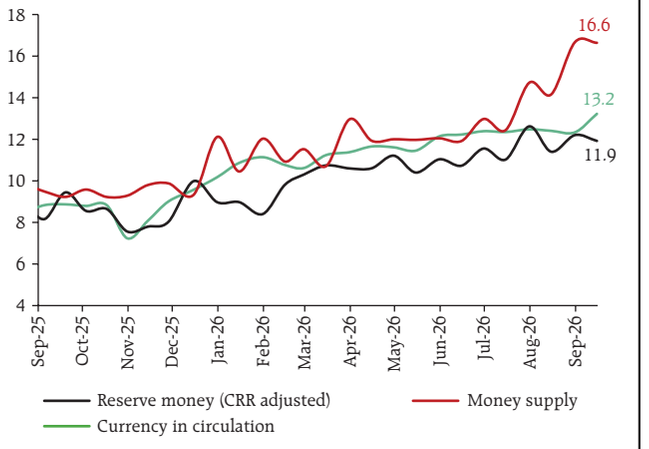
Money and Credit

Reserve money [adjusted for cash reserve ratio (CRR)] expanded at a robust pace with growth in currency in circulation recording the highest print in past five years as on September 15, 2026.[51] The money supply growth accelerated due to a rapid increase in aggregate deposit (Chart IV.4).[52]

Bank deposit growth during August reached its highest level in the past 15 years, contributing to a moderation in the incremental credit-deposit ratio. Both credit and deposit sustained strong growth in September despite some moderation (Chart IV.5).[53]

Chart IV.4: Sustained Growth in Money Supply (M_3)

(Y-o-y, per cent)



Note: With the change in the definition of fortnight vide the Banking Laws (Amendment) Act, 2025, data for reserve money and money supply pertain to 15th and last day of the month, effective December 15, 2025.
Source: RBI.

The total flow of financial resources to the commercial sector increased in 2026-27 (till August 31st), driven by a pickup in non-food bank credit and rise in FDI[54] [Table IV.2a]. As on August 31, the total outstanding credit to the commercial sector also stood higher than a year ago (Table IV.2b).

Table IV.1: Average Corporate Bond Yields and Spreads Hardened

	Yields *(Per cent)*			Spread *(bps)* (Over Corresponding Risk-free Rate)		
Instrument	**August 2026**	**September 2026** (till 21st)	**Variation** *(bps)*	**August 2026**	**September 2026** (till 21st)	**Variation**
1	**2**	**3**	**(4 = 3-2)**	**5**	**6**	**(7 = 6-5)**
(i) AAA (1-year)	7.38	7.44	6	160	143	-17
(ii) AAA (3-year)	7.59	7.79	20	123	126	3
(iii) AAA (5-year)	7.60	7.84	24	105	107	2
(iv) AA (3-year)	8.40	8.55	15	204	204	0
(v) BBB minus (3-year)	11.98	12.15	17	562	564	2

Source: Fixed Income Money Market and Derivatives Association of India.

[50] Issuances decreased to ₹0.8 lakh crore in July 2026 from ₹1.0 lakh crore in June 2026. On a cumulative basis, it stood at ₹2.67 lakh crore in April-July:2026-27, lower than ₹3.53 lakh crore in the corresponding period of the previous year.

[51] Growth in reserve money (adjusted for the first-round impact of changes in the cash reserve ratio) increased to 11.9 per cent (y-o-y) as on September 15, 2026, from 11.4 per cent as on August 15, 2026. Growth in currency in circulation increased substantially to 13.2 per cent (y-o-y) as on September 15, 2026, from 12.4 per cent as on August 15, 2026.

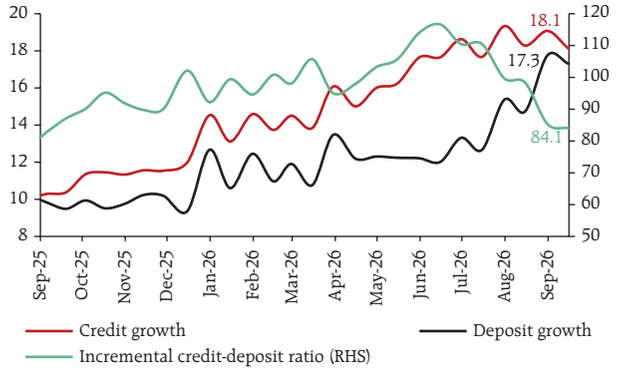
[52] Growth in money supply increased to 16.6 per cent (y-o-y) as on September 15, 2026, from 14.2 per cent (y-o-y) as on August 15, 2026.

[53] SCBs' credit and deposit growth stood at 18.1 per cent (y-o-y) and 17.3 per cent (y-o-y), respectively, as on September 15, 2026, compared to 18.3 per cent and 14.7 per cent, respectively, as on August 15, 2026. SCBs' deposit growth stood at 17.8 per cent (y-o-y) as on August 31, 2026.

[54] FDI to India is on a net basis (*i.e.*, gross inflows adjusted for repatriation/ disinvestment).

Chart IV.5: Incremental Credit-Deposit Ratio Moderated Further

(Y-o-y, per cent)



Notes: 1. The incremental credit-deposit ratio has been calculated on a (y-o-y) basis.
2. SCBs' data are inclusive of regional rural banks. Data include the impact of the merger of a non-bank with a bank.
3. With the change in the definition of fortnight vide the Banking Laws (Amendment) Act, 2025, data for SCBs pertain to 15th and last day of the month, effective December 15, 2025.

Source: Fortnightly Section 42 Returns, RBI.

Bank credit growth continued to remain broad-based in July 2026.[55] Credit to the agriculture sector marginally edged up, while industrial credit growth accelerated, reflecting sustained credit flow to large industries. Credit growth in services sector strengthened further, with lending to non-banking financial companies (NBFCs) and trade contributing to the bulk of the increase, even as credit growth in the commercial real estate segment decelerated marginally. Personal loans rose, supported by steady growth in housing and vehicle loans, despite some moderation in growth in loans against gold jewellery (Chart IV.6).

NBFC credit sustained its upward trajectory in July 2026,[56] largely driven by retail loans and industry. Retail loans remained robust on the back of steady growth in loans against gold jewellery, housing[57]

Table IV.2a: Flow of Financial Resources to Commercial Sector Increased

(₹ lakh crore)

Source	April-March		Up to August 31	
	2024-25	2025-26	2025-26	2026-27 P
A. Non-Food Bank Credit	**18.08**	**29.19**	**3.83**	**9.84**
B. Non-Bank Sources (B1+B2)	**18.15**	**18.06**	**7.41**	**7.62**
B1. Domestic Sources	14.91	12.84	5.20	4.40
B2. Foreign Sources	3.25	5.22	2.20	3.22
C. Total Flow of Resources (A+B)	**36.23**	**47.25**	**11.24**	**17.46**

P: Provisional.

Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. For detailed notes and data, please refer to Current Statistics Table No: 18(a).

Sources: RBI; SEBI (Securities and Exchange Board of India); AIFIs (All India Financial Institutions); and RBI staff calculations.

Table IV.2b: Higher Outstanding Credit to Commercial Sector

(₹ lakh crore; Figures in parentheses are y-o-y percentage changes)

Source	At End-March		As on August 31	
	2025	2026	2025	2026 P
A. Non-Food Bank Credit	**183.72 (10.9)**	**212.91 (15.9)**	**187.55 (10.2)**	**222.76 (18.8)**
B. Non-Bank Sources (B1+B2)	**88.86 (14.6)**	**101.77 (14.5)**	**93.60 (16.2)**	**105.84 (13.1)**
B1. Domestic Sources	66.37 (17.3)	75.29 (13.4)	70.57 (18.9)	78.31 (11.0)
B2. Foreign Sources	22.49 (7.2)	26.48 (17.7)	23.03 (8.4)	27.53 (19.6)
C. Total Credit (A+B)	**272.58 (12.1)**	**314.68 (15.4)**	**281.15 (12.1)**	**328.60 (16.9)**

P: Provisional.

Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. Data on non-bank sources excludes issuances of equities and hybrid instruments under domestic sources and foreign direct investment in equities under foreign sources.
3. Flows based on outstanding data may not tally with the flows provided in Table IV.2a due to:
(a) Conversion of some Housing Finance Companies into Non-Banking Financial Companies; and
(b) Valuation effect in case of foreign sources.
4. For detailed notes and data, please refer to Current Statistics Table No: 18(b).

Sources: RBI; SEBI; AIFIs; and RBI staff calculations.

[55] Provisional data on sectoral deployment of bank credit is based on sector-wise and industry-wise bank credit (SIBC) return, which covers 41 select banks accounting for about 95 per cent of total non-food credit extended by all SCBs.

[56] Provisional data as reported on the last day of the month. Sectoral credit data of NBFCs are based on a sample of (i) NBFCs in Upper and Middle Layers and (ii) Housing Finance Companies (HFCs), accounting for about 87 per cent of total outstanding credit as at end-September 2025 as published in the Report on Trend and Progress of Banking in India 2024-25.

[57] Housing loans data also include housing loans from HFCs.

Chart IV.6: Bank Credit Growth Remained Robust in July

(Y-o-y, per cent)



Source: RBI.

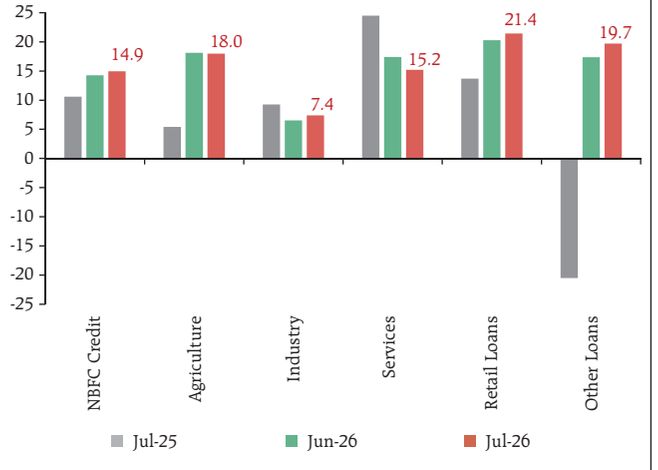
and vehicle loans. Industrial credit accelerated, propelled by the infrastructure segment. Credit to services sector, however, moderated on account of deceleration in commercial real estate and trade segments. Agricultural credit continued to grow in double digits (Chart IV.7).

Deposit and Lending Rates

During the current easing cycle (February 2025 to July 2026), banks have lowered both weighted average lending rates (WALRs) and the weighted average domestic term deposit rates (WADTDRs) in response to the cumulative 125 basis points (bps) reduction in the policy repo rate. In July, the WADTDR on fresh term deposits and the WALR on fresh rupee loans

Chart IV.7: NBFC Credit Growth Remained Buoyant

(Y-o-y, per cent)



Note: Other loans include credit from NBFCs other than these four sectors and non-housing loans from HFCs.
Sources: RBI; and National Housing Bank.

Table IV.3: Transmission to Banks' Deposit and Lending Rates

(Basis points)

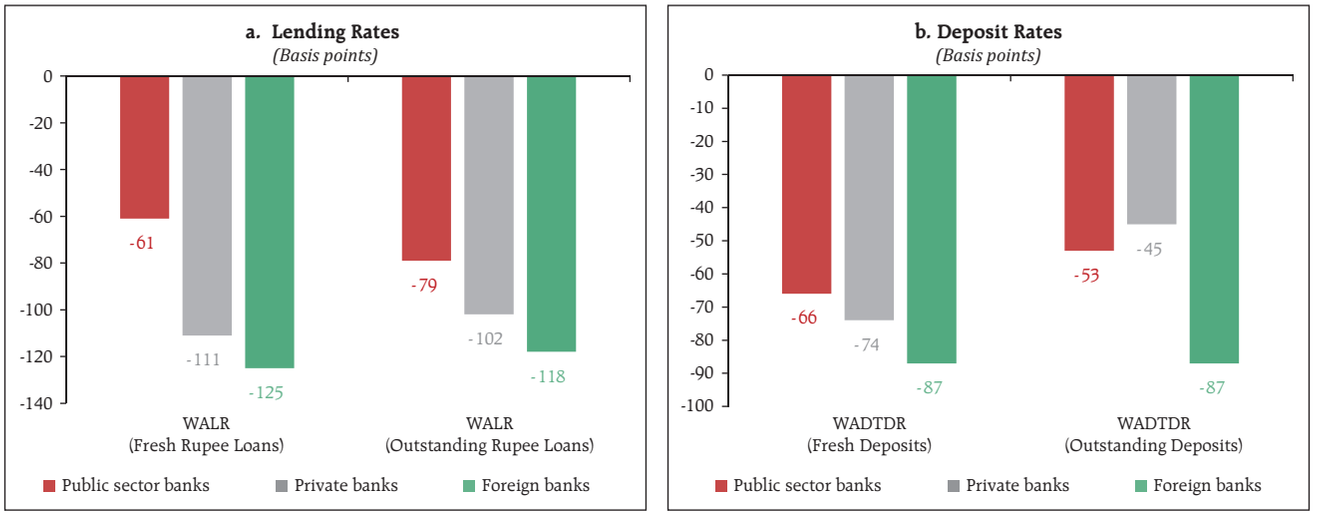
Period	Repo Rate	Term Deposit Rates		Lending Rates				
		WADTDR-Fresh Deposits	WADTDR-Outstanding Deposits	EBLR	1-Year MCLR (Median)	WALR - Fresh Rupee Loans		WALR-Outstanding Rupee Loans
						Overall	Interest Rate Effect#	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Tightening Cycle May 2022 to Jan 2025	250	259	206	250	175	182	191	115
Easing Cycle Feb 2025 to Jul 2026	-125	-72	-51	-125	-40	-81	-75	-90
Monthly								
May-2026	0	4	-2	0	10	1	-2	-1
Jun-2026	0	16	1	0	-15	2	6	-1
Jul-2026	0	-9	0	0	10	-1	4	1

#: Calculated at January 2025 weights.
WALR: Weighted average lending rate; WADTDR: Weighted average domestic term deposit rate.
MCLR: Marginal cost of funds-based lending rate; EBLR: External benchmark-based lending rate.
Note: Data on EBLR pertain to 32 domestic banks.
Source: RBI.

moderated sequentially, while WALR on outstanding rupee loans increased marginally (Table IV.3).

Across domestic bank groups, private sector banks recorded stronger pass-through to lending rates and fresh deposit rates than those of public sector banks. The public sector banks exhibited relatively higher transmission to outstanding deposit rates during the current easing cycle (Chart IV.8). Transmission to lending rates was broad-based across sectors, with higher pass-through to EBLR-mandated sectors[58] (Chart IV.9).

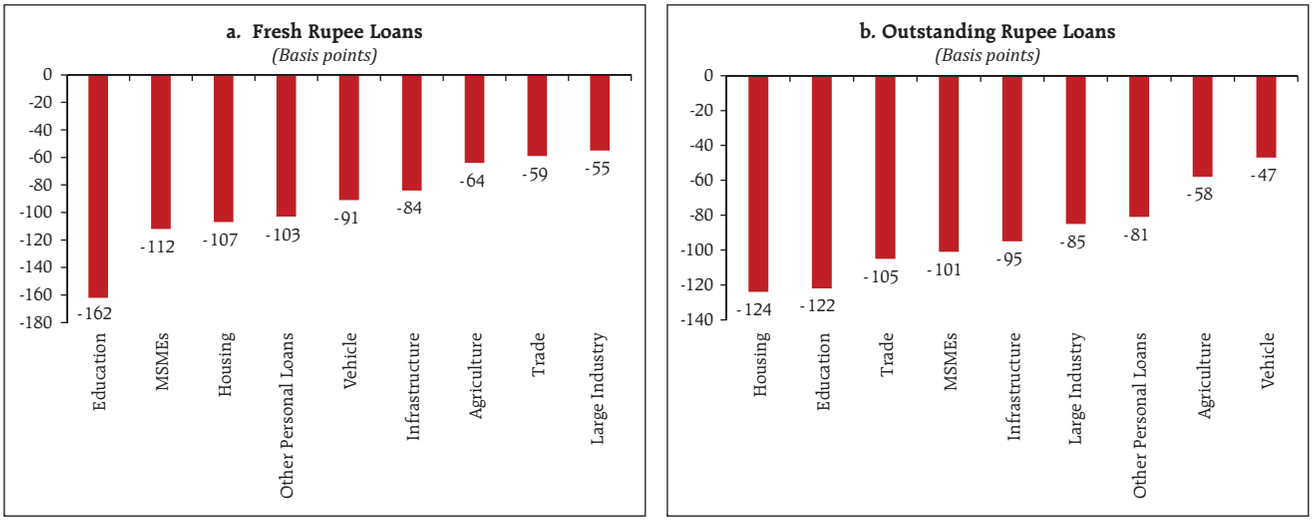
Chart IV.8: Transmission across Bank Groups (February 2025 – July 2026)



Note: Transmission during February 2025 to July 2026 is calculated by subtracting the weighted average lending and deposit rates of January 2025 from those of July 2026.
Source: RBI.

[58] EBLR-mandated sectors include education, MSMEs, housing, other personal loans and vehicle.

Chart IV.9: Transmission across Select Sectors (February 2025 – July 2026)



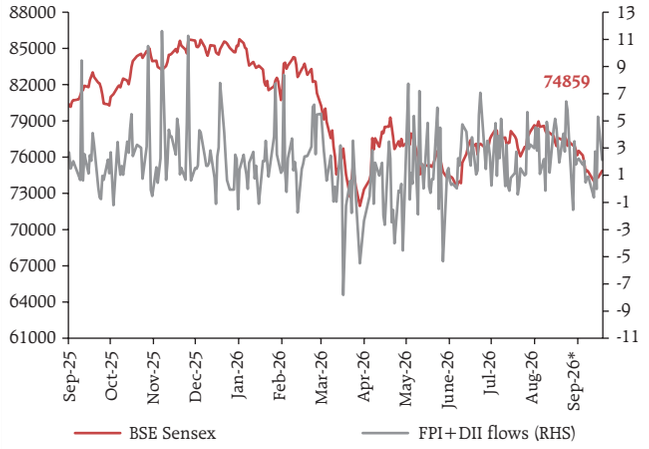
Note: Transmission during February 2025 to July 2026 is calculated by subtracting the weighted average lending rates of January 2025 from those of July 2026.
Source: RBI.

Equity Markets

Indian equity markets remained subdued in August and September (till 21st) amidst escalating geopolitical tensions and elevated crude oil prices. A spike in global bond yields and tighter US monetary policy also weighed on the investor sentiment and foreign flows in equities (Chart IV.10).

Chart IV.10: Domestic Equity Markets Remained Subdued in August and September

(Index, left scale; ₹ thousand crore, right scale)



Note: *: Data is till September 21.
DII: Domestic Institutional Investors. FPI: Foreign Portfolio Investors.
Source: Bloomberg.

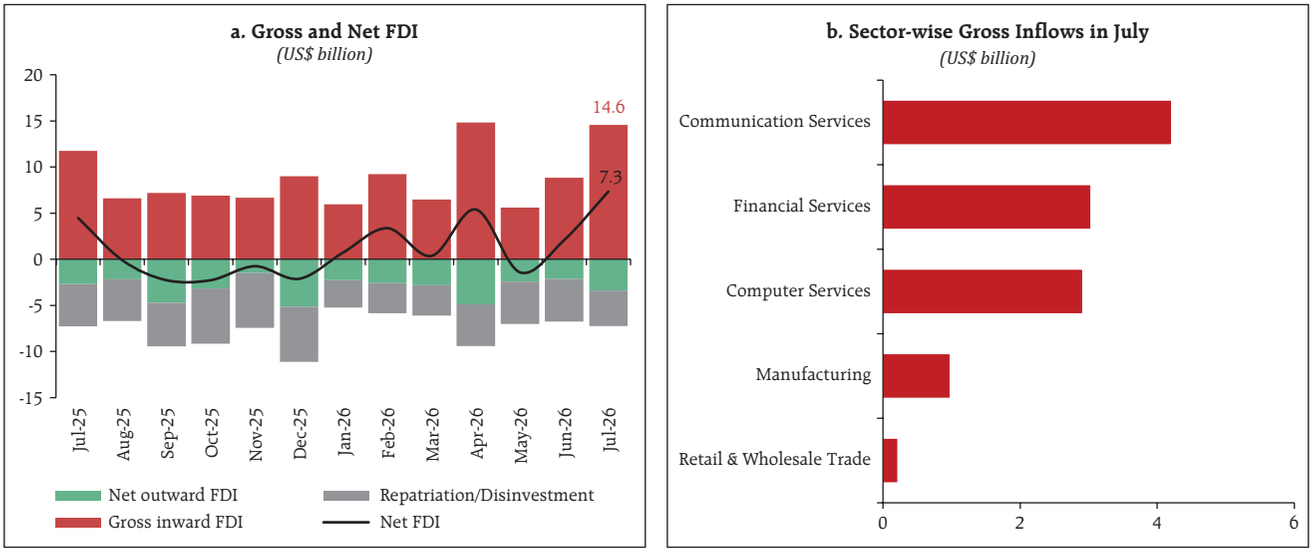
External Sources of Finance

FDI flows strengthened further in July 2026, supported by robust gross inflows (Chart IV.11a).[59] Communication, financial and computer services were the major sectors, receiving more than four-fifths of the equity inflows (Chart IV.11b). Mauritius, the UAE, and the US were the major source countries, accounting for about 70 per cent of equity inflows. Overseas investments also rose during July after declining for two consecutive months. More than two-thirds of outward FDI flows were directed towards Singapore, the UK, and the UAE. The major sectors witnessing outward FDI were financial, insurance and business services, and manufacturing – together accounting for about two-thirds of the outward flows.

August witnessed continued FPI inflows, supported by the equity segment, while the debt segment witnessed outflows. In September (till 21st), total FPI flows turned negative after three consecutive

[59] Net FDI stood at US$ 7.3 billion in July 2026, the highest monthly flow in five years, reflecting robust gross inflows of US$ 14.6 billion. During April-July 2026, net FDI and gross FDI inflows stood at US$ 13.4 billion and US$ 43.9 billion, respectively, as compared to US$ 9.7 billion and US$ 38.9 billion in the corresponding period last year.

Chart IV.11: Net FDI Inflows Rose Further in July

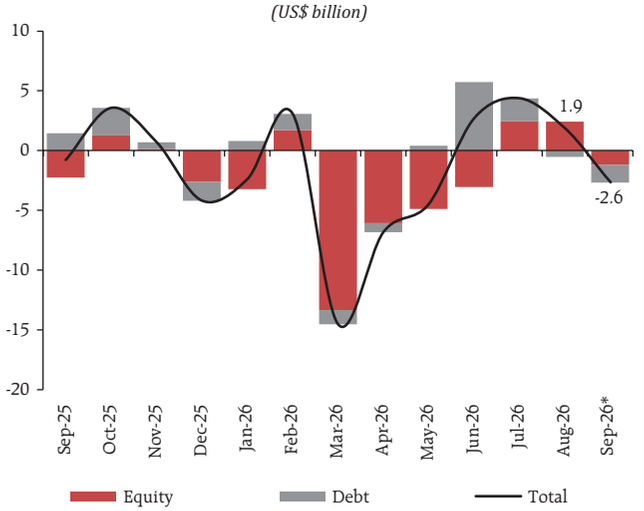


Source: RBI.

months of inflows on the back of re-escalation of tensions in West Asia and rising global bond yields (Chart IV.12).[60]

Net inflows under non-resident deposits rose sharply in July 2026[61], reflecting an increase in FCNR(B) deposits on account of recent policy measures (Chart IV.13).[62]

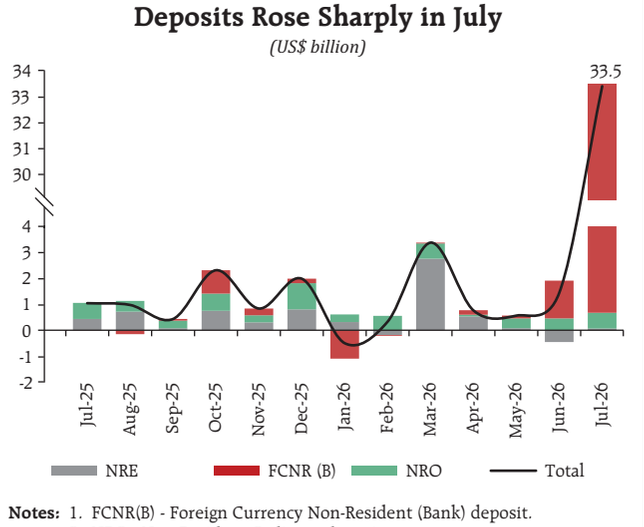
Chart IV.12: FPI Flows Reversed in September



Notes: 1. Debt also includes investments under the hybrid instruments.
2. *: Data up to September 21, 2026.

Source: National Securities Depository Limited (NSDL).

Chart IV.13: Net Inflows under FCNR(B) Deposits Rose Sharply in July



Notes: 1. FCNR(B) - Foreign Currency Non-Resident (Bank) deposit.
2. NRO - Non-Resident Ordinary deposits.
3. NRE – Non-Resident (External) Rupee deposits.

Source: RBI.

[60] During 2026-27 so far (up to September 21, 2026), FPI registered net outflows to the tune of US$ 4.9 billion, driven by withdrawals from the equity segment.

[61] During July 2026, net inflows under non-resident deposits rose to US$ 33.5 billion from US$ 1.0 billion a year ago due to net inflows of US$ 32.8 billion in FCNR(B) deposits.

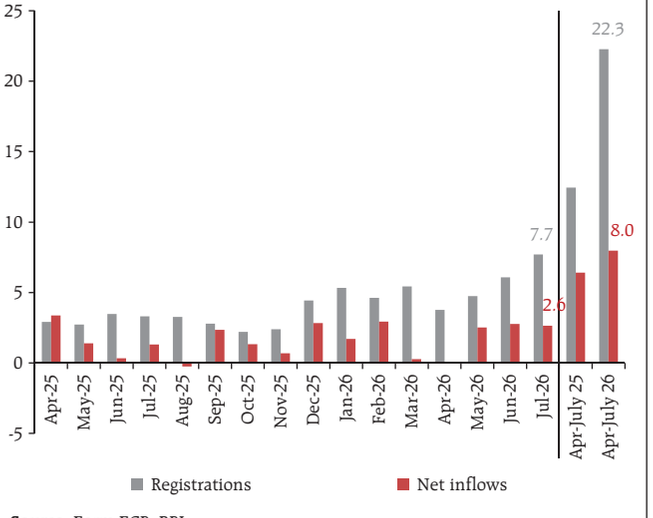
[62] Following the introduction of a special USD-INR forex swap facility covering Foreign Currency Non-Resident (Bank) (FCNR(B)) deposits, External Commercial Borrowings (ECBs) and Overseas Foreign Currency Borrowings (OFCBs) by the Reserve Bank on June 08, 2026, a total of US$ 133.0 billion were mobilised in FCNR(B) deposits during June 8- August 31, 2026. Further, OFCBs and ECBs recorded inflows of US$ 5.3 billion each till September 18, 2026. The scheme was open till August 31, 2026, for FCNR(B) deposits, and will remain open up to December 31, 2026, for OFCBs and ECBs.

Offshore fundraising through external commercial borrowings (ECBs) strengthened during April-July 2026, with both registrations and net inflows rising over the year.[63] In July 2026, net ECB inflows doubled from a year ago, although they moderated marginally as compared to the previous month (Chart IV.14). Around 31 per cent of the ECBs registered were mobilised for capital expenditure.

India's current account deficit rose marginally in Q1:2026-27 compared to a year ago driven by widening of merchandise trade deficit (Chart IV.15).[64] Capital account witnessed net outflows. These together led to a decline of US$ 8.1 billion in foreign exchange reserves (on a balance of payment basis) in Q1:2026-27. The situation improved in July 2026 with net capital inflows of US$ 27.7 billion, primarily driven by higher net inflows under banking capital, foreign portfolio investment and foreign direct investment, resulting in a balance of payments surplus of US$ 20.8 billion during the month.

Chart IV.14: External Commercial Borrowings - Registrations and Inflows

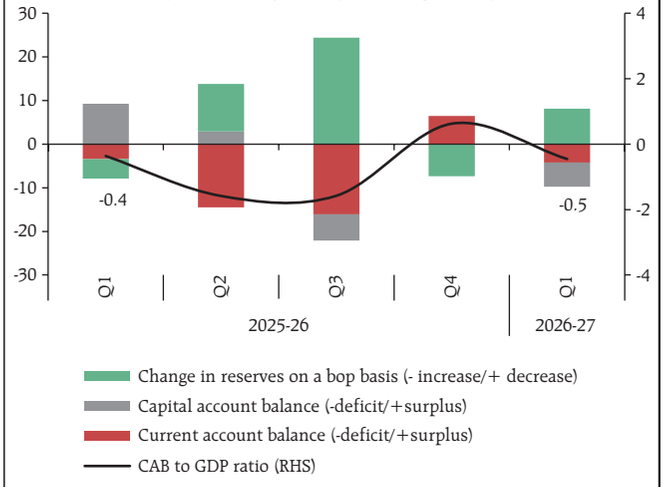
(US$ billion)



Source: Form ECB, RBI.

Chart IV.15: India's Current Account Deficit Rose Marginally in Q1:2026-27

(US$ billion, left scale; per cent, right scale)

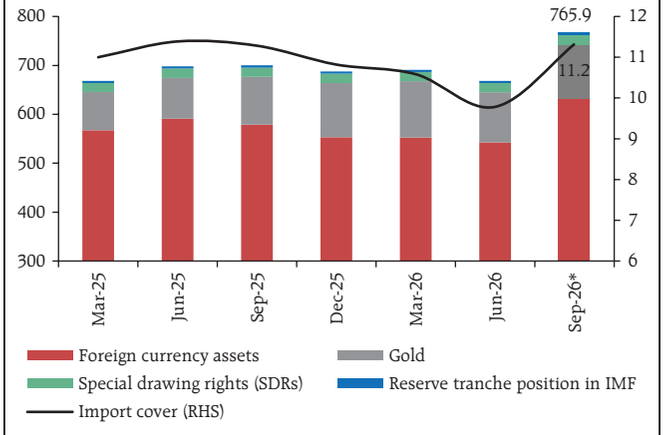


Note: CAB - Current Account Balance.
Source: RBI.

India's foreign exchange reserves surged to a record high in September, supported by strong foreign currency inflows following the RBI's concessional swap measures. The reserves provided cover for 11.2 months of goods imports (as on September 18) and more than 100 per cent of the external debt outstanding as at end-March 2026 (Chart IV.16).[65]

Chart IV.16: India's Foreign Exchange Reserves Surged

(US$ billion, left scale; months, right scale)



Notes: 1. *: As on September 18, 2026.
2. The import cover data is based on annualised merchandise imports as per the balance of payments statistics.

Source: RBI.

[63] During April-July 2026, total ECB registrations increased significantly to US$ 22.3 billion from US$ 12.5 billion in the corresponding period of last year, and net inflows increased to US$ 8.0 billion from US$ 6.4 billion during the same period.

[64] During Q1:2026-27, the current account deficit stood at US$ 4.2 billion (0.5 per cent of GDP) as compared to US$ 3.4 billion (0.4 per cent of GDP) in Q1:2025-26.

[65] As on September 18, 2026, the import cover for goods and services was 8.9 months.

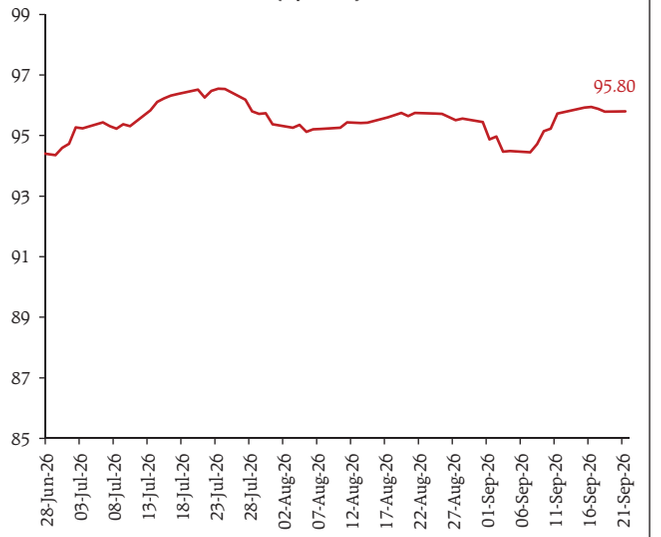
Foreign Exchange Market

West Asia tensions and high crude oil prices caused the Indian rupee (INR) to depreciate for most of August. Strong FCNR(B) deposits led to brief recoveries in early September, but these gains reversed in the later part of the month on account of higher crude oil prices (Chart IV.17).

In real effective terms, the INR appreciated in August driven by higher domestic inflation *vis-à-vis* major trading partners and appreciation of the INR in nominal effective terms (Chart IV.18).

Chart IV.17: Exchange Rate

(₹ per US$)

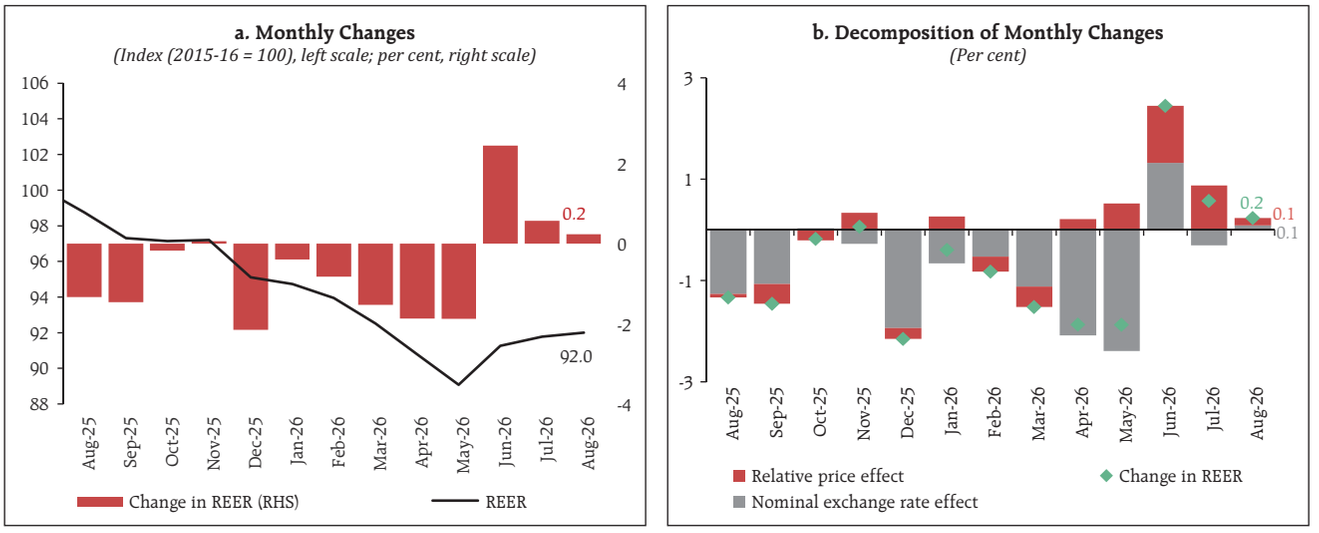


Source: FBIL

V. Conclusion

The escalation of conflict in West Asia in September has led to a sharp increase in crude oil prices, reigniting concerns of a further disruption in global supply chains and build-up of inflationary pressures. Alongside, the rise in sovereign yields in some of the major advanced economies has put pressure on government finances. Despite such a challenging global environment, the Indian economy recorded a strong GDP growth in Q1:2026-27. High-frequency indicators through August reflected sustained demand with segments of industry and services sectors displaying resilience. Headline CPI inflation picked-up in August 2026. Core inflation excluding precious metals has also increased from ultra-low levels of recent months. India's financial and external sectors are drawing strength from the real economy, although geopolitical tensions and weather-related uncertainties are acting as key downside risks. With strong export growth, the merchandise trade

Chart IV.18: 40-Currency Real Effective Exchange Rate Appreciated in August

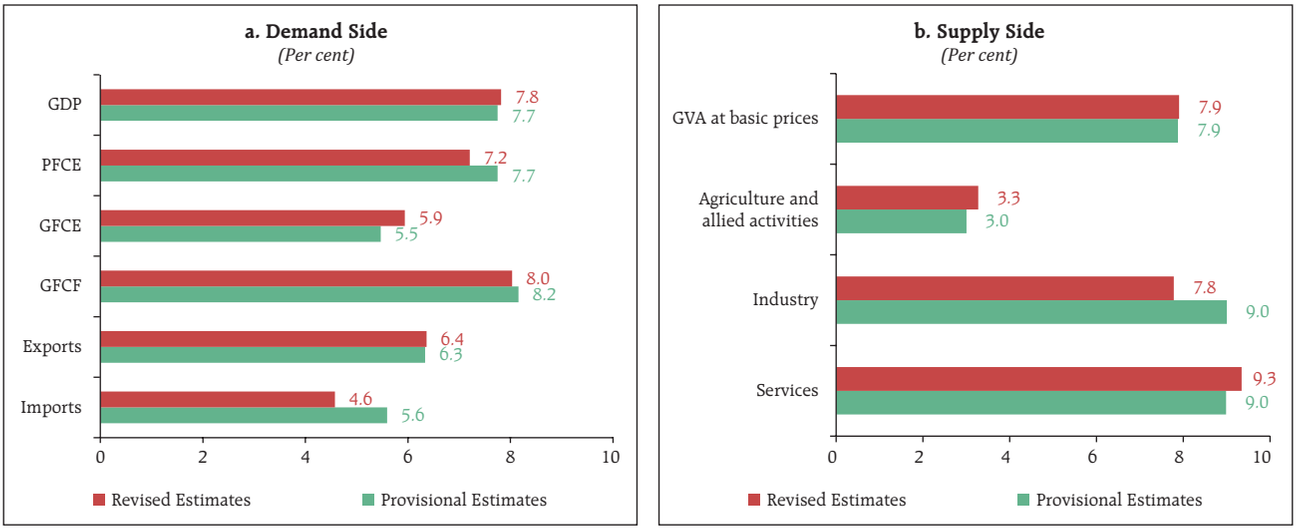


Note: Positive change indicates an appreciation of nominal and real exchange rate and negative change indicates a depreciation.
Source: RBI.

deficit narrowed in August. The current account deficit remained moderate in Q1:2026-27, supported by robust services exports and remittance flows. FDI flows strengthened in July, with net FDI reaching its highest level in the last five years. System liquidity remained in surplus, following strong FCNR(B) deposit flows. The resultant deposit growth could support ongoing credit growth. Foreign exchange reserves also reached record levels. Overall, the economy performed strongly despite external headwinds.

Annex

Annex Chart 1: Growth Revision for 2025-26 over Provisional Estimates



Note: Provisional Estimates were released on June 5, 2026, while the Revised Estimates were released on August 31, 2026.
Source: NSO; and RBI staff calculations.

Table A1: Real GDP Growth (at 2022-23 prices)

(y-o-y growth, per cent)

Components	Share in 2025-26	2023-24	2024-25	2025-26	2024-25				2025-26				2026-27
					Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1
I. Total Consumption Expenditure	**66.1**	**5.3**	**6.5**	**7.0**	**6.1**	**6.2**	**7.3**	**6.2**	**6.4**	**6.0**	**7.9**	**7.5**	**6.7**
Private	55.8	6.2	6.4	7.2	6.0	6.4	6.9	6.4	6.8	6.4	8.0	7.5	7.1
Government	10.3	0.8	6.6	5.9	6.6	5.0	9.6	5.5	4.5	4.4	7.0	7.7	4.3
II. Gross Capital Formation	**35.6**	**10.6**	**7.9**	**7.8**	**8.6**	**10.2**	**7.1**	**6.0**	**6.0**	**5.8**	**8.0**	**11.3**	**10.1**
Fixed Investment	33.2	9.0	8.2	8.0	9.7	8.9	6.9	7.6	5.8	7.2	8.3	10.5	11.9
III. Net Exports	**-1.9**	**12.2**	**-14.8**	**12.7**	**-26.2**	**-31.7**	**23.3**	**-2.4**	**-1.2**	**18.8**	**-17.4**	**383.2**	**86.1**
Exports	21.8	1.1	4.9	6.4	6.0	1.0	8.2	4.3	6.0	9.7	6.2	3.9	12.0
Imports	23.7	-0.2	5.7	4.6	8.4	5.1	5.1	4.4	5.3	5.0	7.0	0.8	-1.1
GDP	**100.0**	**7.3**	**7.2**	**7.8**	**7.5**	**7.3**	**7.4**	**6.6**	**6.9**	**8.1**	**7.7**	**8.6**	**7.8**

Note: Figures in this table are based on the revised data released on August 31, 2026.
Sources: NSO and RBI staff calculations.

Table A2: Real GVA Growth (at 2022-23 prices)
(Y-o-y growth, per cent)

Sectors	Share in 2025-26	2023-24	2024-25	2025-26	2024-25				2025-26				2026-27
					Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1
I. Agriculture and allied activities	**17.7**	**2.7**	**4.1**	**3.3**	**2.6**	**4.0**	**5.7**	**3.8**	**4.4**	**3.2**	**1.9**	**3.9**	**3.6**
II. Industry	**20.0**	**9.7**	**9.4**	**7.8**	**10.5**	**6.4**	**11.2**	**9.6**	**7.3**	**10.1**	**7.6**	**6.4**	**7.7**
Mining and quarrying	2.1	0.9	13.5	7.1	15.7	6.7	16.5	13.6	12.4	21.6	3.3	-2.9	-2.4
Manufacturing	15.6	10.7	10.0	8.8	9.9	7.5	12.2	10.3	8.3	10.0	9.0	7.9	9.2
Electricity, gas, water supply and other utility services	2.3	11.7	2.8	2.1	9.8	-0.2	0.7	1.0	-1.8	3.8	1.9	4.8	8.9
III. Services	**62.3**	**8.3**	**7.4**	**9.3**	**8.0**	**8.0**	**7.1**	**6.4**	**7.6**	**8.9**	**9.6**	**11.0**	**9.7**
Construction	9.0	9.7	6.6	7.2	8.1	5.6	5.2	7.5	5.2	7.8	7.0	8.7	7.7
Trade, hotels, transport, communication, and services related to broadcasting	14.7	11.5	7.0	11.3	8.1	7.5	6.7	5.9	9.8	10.6	11.7	12.9	8.5
Financial, real estate and professional services	26.2	6.6	9.0	10.5	8.5	10.0	9.7	7.7	8.8	9.9	10.9	12.3	12.1
Public administration, defence and other services	12.4	6.9	5.1	6.3	6.9	6.0	4.2	3.5	4.6	5.7	6.6	8.0	7.5
IV. GVA at basic prices	**100.0**	**7.4**	**7.1**	**7.9**	**7.5**	**7.0**	**7.6**	**6.6**	**7.0**	**8.3**	**7.6**	**8.7**	**8.2**

Note: Figures in this table are based on the revised data released on August 31, 2026.
Sources: NSO; and RBI staff calculations.